



Ministry of Human Resources
and Social Development
Kingdom of Saudi Arabia



WORLD BANK GROUP

A Decade of Progress

INSIDE SAUDI ARABIA'S
LABOR MARKET
TRANSFORMATION

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Abstract



This report offers fresh insights into Saudi Arabia's labor market transformation over the past decade, highlighting some of the accomplishments in reshaping employment outcomes achieved after implementation of Vision 2030 and the National Labor Market Strategy. Leveraging a rich dataset comparing 2025 with a 2015 pre-Vision 2030 baseline, it offers details about some of the main policy reforms that the Ministry of Human Resources and Social Development has led and how these reforms have helped modernize labor market institutions and policies, enhance inclusion, and enable the private sector to become the emerging force driving new job creation. The analysis documents the significant observable shifts toward greater inclusion; private sector employment in micro, small, and medium-sized firms; and general workforce upskilling and distills lessons for inclusive growth and economic diversification that offer practical guidance for policy makers in the region and beyond.

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Executive Summary

Over the past decade, Saudi Arabia's Vision 2030 and the National Labor Market Strategy (LMS) have noticeably improved the country's labor market—setting a national blueprint for shifting the economy beyond oil by catalyzing private sector job creation; boosting labor force participation, especially of women and youth; and equipping workers for a digital economy. This report highlights some of the key reforms and achievements in labor market outcomes in the past decade, leveraging new datasets benchmarking 2025 outcomes against a 2015 pre-Vision 2030 baseline.

Key Achievements

- **Labor market activation and inclusion:** Labor force participation significantly increased, especially for women, and rates of being in school or employed increased for youth, effectively making the labor market more inclusive for all groups. In parallel, employment ratios increased as more inactive individuals¹ moved into jobs instead of becoming unemployed, as reflected in a sizeable reduction in unemployment. The size of the productive workforce therefore expanded, helping capture the demographic dividend and accelerate growth.
- **Private sector dynamism and greater role for private in employment:** A more-educated, younger workforce; a declining rate of mismatches in job qualifications; greater labor mobility; and a pronounced shift in Saudi employment, particularly of women, toward private firms signaled a more-vibrant, more-competitive private sector playing an increasingly important role in employment.



- **Changing social norms:** Saudis' views about work, particularly work in the private sector, have improved, helping close the preference gap with the public sector, with a large share of unemployed individuals seeking jobs in the private sector. In addition, social norms regarding which workplaces are accessible to women have changed considerably, with a substantial increase in support for women working in mixed-gender settings.



A comprehensive mix of reforms contributed to these achievements. Saudi Arabia unified governance, policy, and service delivery across the public and private sectors, with notable efforts such as consolidating job-matching platforms. It developed the skills system, including by institutionalizing sector councils to align labor and skills development policy with private sector needs. The government has implemented comprehensive reforms to support labor market inclusion of women, including childcare and transport support, anti-harassment protections, and removal of occupational and other restrictions. It removed restrictions on labor mobility for foreign workers and introduced a skills classification system for foreigners' work permits to attract talent. It built an integrated digital labor market system that increases compliance, transparency, and worker protections and provides labor market services to all stakeholders. These reforms are key highlights, but they are not an exhaustive list of all reforms undertaken.

To reach the next frontier, Saudi Arabia should accelerate next-generation reforms across skills, jobs, and protections. These reforms include building a true lifelong learning system emphasizing foundational learning aligned with evolving employer demands and new technologies such as generative artificial intelligence, refining migrant admission policies to attract and retain needed talent that enables better employment outcomes, expanding inclusive employment support that targets vulnerable groups, promoting flexible forms of work and remote and part-time work, broadening childcare and transportation access to reduce participation barriers, and enhancing working conditions and worker protections to increase job quality for all.



Background

Saudi Arabia's Transformation Journey

Saudi Arabia is gradually introducing changes to its labor market and economy as it seeks to diversify and modernize its systems. The oil-rich country is pursuing an ambitious reform agenda to transition away from heavy economic dependence on fossil fuels and toward a diversified, knowledge-intensive, competitive and diversified economy (Box 1). Broad reform packages cover all aspects of social and economic life, from modernizing institutions to building a thriving economy and improving quality of life. The reforms have begun to generate outcomes across all areas, including the labor market.

Persistent labor market challenges have curtailed job creation and inclusion. Several demand-side challenges have impaired creation of more and better jobs, from firm dynamics to the foreign admission system. On the supply side, skills development challenges and strong preferences for public sector jobs have distorted labor supply choices. Matching frictions have contributed to inefficient labor allocation in the economy. Labor market exclusion and unemployment were thus significant challenges, especially for groups at the margin of the labor market, including low-skilled individuals, women, and youth.

Recognition of these and other challenges has created a national consensus regarding the need for a transformation. To address these challenges, Saudi Arabia needed a comprehensive framework and roadmap to align policies, institutions, and social aspirations toward a common goal, so in 2015, Saudi Arabia launched an ambitious reform agenda: Vision 2030. From this vision, momentum is growing to turn the labor market into a key driver of inclusive, sustainable growth and to help accelerate progress toward economic diversification.

BOX 1. SAUDI ARABIA'S ECONOMIC DIVERSIFICATION TRAJECTORY

Saudi Arabia's economy has remained resilient despite external shocks and a decrease in oil revenues, with inflation contained and unemployment at record lows, especially for women and youth. Although temporary oil production cuts have weighed on growth, the outlook is strengthening, with real gross domestic product (GDP) projected to increase by 3.6 percent in 2025 and 3.9 percent in 2026 as oil output normalizes.²

The economic structure has shifted markedly from oil dependence toward non-oil expansion, with the private sector at the forefront of this transformation. The non-oil economy's share of GDP grew from 60 percent in 2015 to 68 percent by 2024. Within this broadening non-oil base, the private sector consistently increased its contribution from 41 to 50 percent and maintained higher compound growth rates than oil and government activities. This trend positions private sector enterprise as a key driver of innovation, job creation, and sustainable long-term growth while steadily reducing reliance on hydrocarbons. The non-oil economy expanded

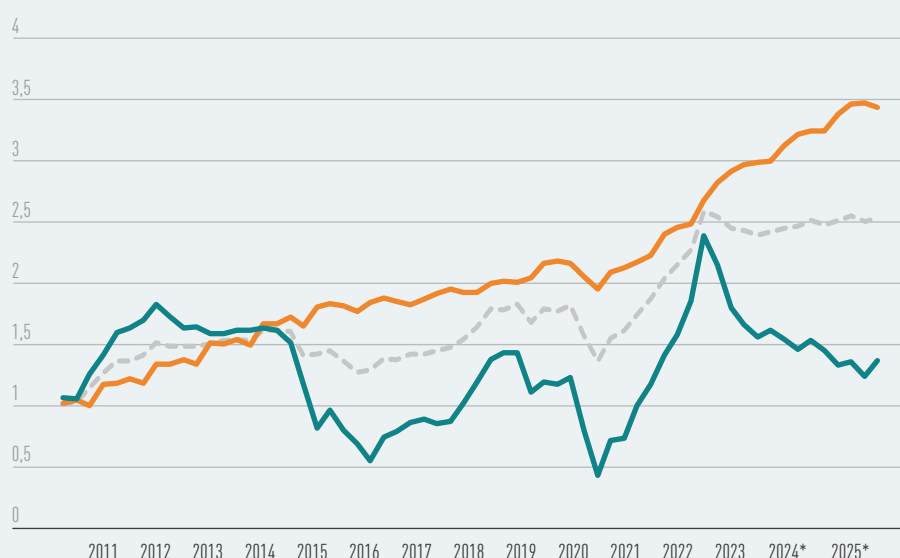
by 4.5 percent in 2024 on the back of strong activity in retail, hospitality, construction, and transport. Surging tourism is further boosting services, and a strengthening labor market, particularly for Saudi women, is supporting this broad-based expansion amid low inflation and rising activity across key sectors.³

Behind this momentum is strong investment anchored in the Vision 2030 transformation agenda. Large-scale spending on tourism, infrastructure, logistics, and flagship megaprojects, along with preparations for global events such as Expo 2030 and the World Cup, continues to reshape the economy and boost non-oil activity (Figure B1.1). Ongoing structural reforms in business regulation, labor markets, and digitalization are further accelerating diversification and driving the shift toward a more dynamic, service-oriented, investment-driven growth model, although Saudi Arabia has experienced an apparent sustained decline in total factor productivity since 2016, averaging -1.6 percent per year presenting key structural risks to the country's diversification agenda.⁴

Figure B1.1. Gross Domestic Product According to Main Economic Activity at Current Prices, Index 2010 Q1=1

— Gross Domestic Product
— Non-Oil Activities
— Oil Activities

Source: GASTAT



Vision 2030 and the LMS

Saudi Arabia's Vision 2030 is a national plan to diversify the economy beyond oil and raise living standards, with a strong emphasis on labor market reforms critical to national transformation. The Vision 2030 initiatives designed to address labor market challenges can be categorized into three main areas: modernizing governance and institutions; increasing employment creation and inclusion; and improving skills, productivity, and job quality in the private sector.

→ **Governance and institutions:** Robust governance and dynamic institutions are central to Vision 2030's labor market transformation. Formal reforms integrate labor market systems, update regulations, and improve data for evidence-based policy making, and digital platforms streamline services and help reduce information frictions in the market. The MHRSD has made significant progress increasing institutional capability for robust governance and monitoring of the transformation.



→ **Employment creation and inclusion:** Vision 2030 prioritizes diversification of job opportunities for Saudis while attracting the best global talent. The government has expanded its flagship employment programs and introduced new ones to provide support hiring Saudis in key private sector activities, employment in small and medium-sized enterprises (SMEs), and entrepreneurship.



→ **Private sector skills, productivity, and job quality:** Vision 2030 is designed to build a dynamic private sector by, among other things, increasing the contribution of SMEs to gross domestic product (GDP), promoting digitalization and artificial intelligence (AI), and upgrading skills to increase job quality. The National Transformation Program was the first vision realization program⁵ established under Vision 2030 to achieve Saudi Arabia's transformation objectives. The Human Capability Development Program is a key vision realization program designed to align education with employer needs, expand vocational and digital training, and reduce skills imbalances—key outcomes required to improve private sector performance.



To achieve these ambitious Vision 2030 goals for the labor market, Saudi Arabia embarked on a whole-of-government effort led by the Ministry of Human Resources and Social Development (MHRSD) to transform the Saudi labor market. The government brought together a diverse group of stakeholders representing all the ecosystem (e.g., business sector, government, global experts, knowledge institutions) to produce a comprehensive framework to address persistent challenges and improve outcomes: the LMS, which set ambitious policy goals addressing the binding constraints from the supply, demand, and matching sides of the labor market.

The LMS was designed to transform Saudi Arabia's labor market through a comprehensive, evidence-based reform agenda and was anchored in six interlinked and mutually reinforcing pillars (labor market activation, working conditions, growth and investment climate, recruitment, skills and values, job-matching ecosystem) supported by crosscutting enablers in governance and information systems (Table 1). It included 27 initiatives, 19 of which were implemented and completed and the rest currently on track, and set ambitious key performance indicators and targets, many of which have been exceeded.



Table 1. Mapping of Vision 2030, Labor Market Strategy (LMS) and initiatives

Vision 2030 thematic areas	LMS pillars	Strategic Objectives	LMS Initiatives
Employment inclusion & participation	Labor market activation	Facilitate inclusive participation of Saudi nationals from all segments	→ Reform pension systems → Redesign job support programs → Reduce regulatory restrictions that hinder women's participation and employment in the private sector
	Working conditions	Enhance working and contracting environment	→ Reform public sector employment policies → Improve contractual employment relationship → Regulate and promote new forms of work (e.g., flexible work) → Develop work systems in public and private sectors → Promote occupational safety and health
Private sector job quality and human capital	Growth and investment climate	Develop economic sectors and regions, encourage small and medium-sized enterprises, attract foreign investment	→ Reform business regulations to support investment, business entry, growth → Support and develop business accelerators, incubators, and entrepreneurship clusters
	Recruitment	Attract talent while addressing gap between labor market needs and available skills	→ Develop services tailored for expatriates and issue services guidelines → Encourage recruitment of highly skilled expatriates and regulate acceptance of low- and medium-skilled workers → Increase efficiency and productivity of labor market through expatriate labor policies
	Skills and values	Align skills with evolving current and future labor market needs	→ Develop National Center for Curricula → Develop specialized tracks in secondary school → Evaluate employment rates for higher education program graduates and review academic disciplines → Develop career planning, professional standards, and skills system → Develop personal skills and foster positive work culture → Develop training and rehabilitation programs for national workforce in private and nonprofit sectors → Evaluate employment rates for technical, vocational, and engineering training program graduates and review academic specializations
	Job-matching ecosystem	Enhance matching process between job seekers and employers	→ Enhance online recruitment platforms → Improve beneficiary relationship model → Improve quality of employment services for individuals who are difficult to employ
	Labor market governance enablers	Develop governance, infrastructure, and information systems and technology	→ Provide regular evaluation and development of labor market policies → Develop capabilities in data analysis and evaluation of policies → Enhance role and effectiveness of National Labor Observatory → Activate strategic labor market governance

Source: MHRSD



The LMS marked a pivotal step in transforming Saudi Arabia's labor market. Its success was rooted in its ability to bring together diverse stakeholders under a unified vision, leverage robust data and global best practices, and establish clear mechanisms for accountability and performance monitoring. By fostering collaboration, learning, and adaptation, the strategy not only addressed immediate labor market challenges, but also laid the groundwork for sustainable, long-term development. The experience demonstrates the importance of holistic, data-driven, well-governed approaches in driving effective labor market reforms and offers valuable lessons for similar efforts in other contexts.

Effective governance was central to the LMS, driven by strong leadership, a clear vision, and a top-down mandate for reform. Ambitious goals for labor market system modernization were set, accompanied by a clear mandate to implement reforms and well-defined targets with accountability mechanisms. Governance structures were established to ensure alignment with national priorities, and stakeholder consultations played a critical role in shaping dialogue and setting priorities. Regular engagement with stakeholders helped align actions and fostered broad participation, with stakeholder buy-in a key milestone for successful adoption and implementation of the strategy.

An evidence-based approach was fundamental for the design of the LMS.

Country-level diagnostics and design processes were grounded in rigorous analytics and reliable data. Data served as the core knowledge base, providing empirical evidence to guide decision making. Access to multiple administrative data sources enabled robust, timely analytics, supporting ongoing monitoring and evaluation. In particular, the Three Labor Market Surveys (3LMS) initiative generated a wealth of nationally representative labor market data about firms and workers that generated the knowledge base to inform development of the LMS. Significant benchmarking and learning from global experiences informed the design and implementation phases, and lessons drawn from diverse country contexts allowed for effective adaptation to local needs. Contributions from global experts brought specialized knowledge and practical insights, and learning exchanges facilitated rapid knowledge transfer, helping accelerate progress and minimize the risk of duplicating efforts.

Policy and incentive realignment were crucial for successful implementation.

The LMS demanded coordinated alignment across institutions, policies, and programs, alongside robust mechanisms for monitoring performance and accountability. Although existing initiatives provided a valuable foundation of knowledge, efforts were often dispersed and dialogues fragmented. The LMS helped convene key actors, reducing duplication and misalignment. Clear targets, timelines, and monitoring responsibilities were established, creating a direct line of sight from strategy to delivery. Strict targets and monitoring duties were assigned, with monitoring and evaluation frameworks embedded within the mandate of each actor, ensuring accountability and sustained progress throughout implementation.

Table 2. Key Labor Market Strategy Employment Indicators

Indicator	As of Q2 2025	Target for 2025	2030 Target
Labor force participation	67.1%	61.8%	63.0%
Unemployment rate	2.8%	4.6%	3.8%
Unemployment rate of Saudis	6.8%	7.0%	5.0%
Saudi employment in the private sector	52.8%	51.4%	58.3%

Source: MHRSD

The LMS is on track to meet its 2030 targets, surpassing key targets for 2025 (Table 2). As of mid-2025, Saudi Arabia's labor market was outperforming its high-level near-term goals. Labor force participation was 67.1 percent, well above the 2025 target of 61.8 percent and already exceeding the 2030 goal of 63.0 percent. The female labor force participation target for 2030 was achieved in 2022. The overall unemployment rate had declined to 2.8 percent, beating the 2025 target of 4.6 percent and the 2030 target of 3.8 percent. Among Saudis, unemployment is 6.8 percent, slightly better than the 2025 target of 7.0 percent and trending toward the 2030 goal of 5.0 percent. Saudi employment in the private sector reached 52.8 percent for the first time—surpassing the 2025 target of 51.4 percent and moving toward the 2030 target of 58.3 percent. Together, these figures point to strong progress toward a more-inclusive, more-dynamic labor market.

The success of the LMS was anchored not only in a comprehensive policy framework, but also in various critical factors that aligned closely with its strategic pillars and components. First, strong governance, characterized by a top-down mandate for reform, ensured effective stakeholder communication and coordination, and building institutional capability, and robust monitoring of the labor market transformation. Second, an evidence-based approach underpinned the strategy, with data-driven diagnostics and design processes that leveraged global evidence and best practices, enhancing the relevance and impact of interventions. Third, policies and incentives were aligned across institutions, policies, and programs, supported by robust monitoring, performance, and accountability mechanisms. Together, these factors created a cohesive foundation for the strategy's success.

Growing evidence of better labor market outcomes, along with ongoing reforms, offers valuable lessons from Saudi Arabia's transformational journey. To that end, the objective of this report is to highlight some key changes in labor market outcomes over the past decade and to describe the reforms that Saudi Arabia has implemented (see Table 3). The analysis draws on a rich dataset and the 3LMS, comparing 2025 indicators against the 2015 pre-Vision 2030 baseline (Box 2). The report also describes the reforms that the government has implemented and the journey that Saudi Arabia embarked on 10 years ago. It is not meant as an assessment of the current state of Saudi Arabia's labor market or an estimate of the impact of specific reforms. The report is structured along two main labor market goals: more jobs with inclusive growth and a dynamic private sector. All data used in the report are based on the 3LMS unless otherwise indicated.

The national and expatriate surveys sampled the working-age population (18–64 years), and the firms target all sizes and economic activities. Although Saudi Arabia's experience offers key lessons, its unique country context might limit close replication and applicability. Countries with fewer resources, weaker governance, or constrained institutional capacity may find it challenging to sequence, finance, and implement such an integrated agenda. Individual instruments can be adapted, but the most transferable insight is the value of developing a well-coordinated, comprehensive policy package tailored to the needs of a specific country context and its core labor market challenges.

BOX 2. SAUDI ARABIA'S THREE LABOR MARKETS SURVEY (3LMS), 2015 AND 2025

Saudi Arabia's return to the 3LMS, covering Saudi nationals, expatriates, and firms, marks an important milestone in understanding and shaping the kingdom's evolving labor market. The origins of this effort go back to 2014, when the government partnered with the World Bank Group to launch its first national labor market surveys, looking at the triangular view of its labor markets: from the perspective of Saudi nationals, expatriates, and private sector employers. Conducted well before Vision 2030 was announced, these surveys offered a window into the structure and challenges of the labor force at the time.

The surveys' findings played a foundational role in informing the ambitious reforms that followed, influencing labor market policies, national strategies, and early efforts to expand economic participation, especially among women. This is particularly true for the LMS effort. The 3LMS initiative generated a wealth of nationally representative labor market data about firms and workers that generated the knowledge base to inform development of the LMS.

A decade later, the government once again turned to data-driven insights to measure impact and guide the next phase of reform. The 3LMS were repeated in 2024/25 with most of the original survey questions retained, allowing policy makers and researchers to track true change over time, and new modules were added to reflect recent reforms.

The 2025 wave, which the Ministry of Human Resources and Social Development implemented in collaboration with the World Bank Group and NIQ-Nielsen, includes more than 23,000 in-depth, hour-long interviews with working-age nationals and expatriates (18–64 years) and employers across all regions of the country (Table B2.1). The surveys were conducted alongside the first skills demand and skills supply surveys, collectively offering a full picture of what skills employers need, what workers can offer, and where gaps remain.

Table B2.1.
Sample Sizes:
Nationals,
Expatriates,
and Employers,
2015 and 2025

Survey	2015	2025
Nationals	4,945	5,146
Expatriates	3,397	4,112
Employers	2,019	3,035

Table 3. Timeline of Selected Policy Reform Areas and Initiatives

Date	Policy area	Initiative
10/2008	Skills	Human Resources Development Fund support for strategic partnership institutes
01/2011	Localization	Nitaqat program launch
12/2014	Skills	Doroob e training program
03/2016	Localization	Localization of mobile phone sales and maintenance to 50% by June 2016 and 100% by September 2016
01/2017	Gender reforms	Wusool ^a transport support
01/2017	Gender reforms	Wusool ^a transport support for working women (Human Resources Development Fund)
07/2017	Skills	Human Resources Development Fund support for Certificate of Information Technology
10/2017	Flexible work	Freelance program—social protection and General Organization for Social Insurance support for freelancers
10/2017	Flexible work	Part-time job program—Human Resources Development Fund contribution to General Organization for Social Insurance for part-time hires
11/2017	Gender reforms	Qurrah childcare support subsidy
12/2017	Localization	100% localization of gold and jewelry retail
01/2018	Flexible work	Flexible work regulation
01/2018	Gender reforms	Anti-Harassment Law (Royal Decree M/96)—workplace protections
01/2018	Localization	Car rental sector—restrict outlets to Saudis (implementation March 18, 2018)
04/2018	Working conditions	Occupational safety and health management regulation
08/2018	Localization	Retail sector—localization of 12 sales activities (guide approved)
12/2018	Skills	Tamheer program (graduate development, on-the-job training)
01/2020	Flexible work	Freelance work registration
04/2020	Flexible work	Unemployment insurance wage subsidy during COVID-19 (60% wages for Saudis)
08/2020	Flexible work	Flexible work platform launch
11/2020	Job mobility	Labor reform initiative
11/2020	Localization	Raise minimum counted wage in Nitaqat from 3,000 to 4,000 riyals
01/2021	Flexible work	Social insurance for part-time and freelance workers
01/2021	Localization	Nitaqat Mutawar (modernized Nitaqat)—3-year published plan
01/2021	Localization	Nitaqat Mutawar expansion
03/2021	Job mobility	Exit and re-entry visa reform
03/2021	Skills	Professional verification program—skills testing for expatriate workers
04/2021	Localization	100% localization of closed commercial complexes (malls)—decision
08/2021	Skills	Maharat (skills) product
09/2021	Skills	Human Capability Development Program
04/2022	Skills	Human Resources Development Fund support for professional certificates (e.g., Saudi Organization for Chartered and Professional Accountants certifications)
10/2022	Localization	Localization of consultancy professions
01/2023	Localization	Localization in private education schools (selected professions)
05/2023	Localization	Localization of sales professions (15% threshold)
03/2024	Localization	Localization of dentistry professions (35%)
07/2024	Localization	Localization of engineering professions (25%)
10/2024	Skills	Expansion of Doroob with nine new professional certifications
12/2024	Skills	Early work initiative
03/2025	Working conditions	Wage protection system—Mudad: submission window reduced to 30 days
07/2025	Localization	Localization increases in pharmacy sector (varying by setting)
08/2025	Working conditions	Mudad wage protection system—automated alerts and inspections for delayed or unreasonable wages

a. Wusool is a youth empowerment platform.

Note: Localization is Saudi Arabia's flagship nationalization policy to increase employment of Saudi nationals in the private sector.



Accelerated and Inclusive Human Capital Activation

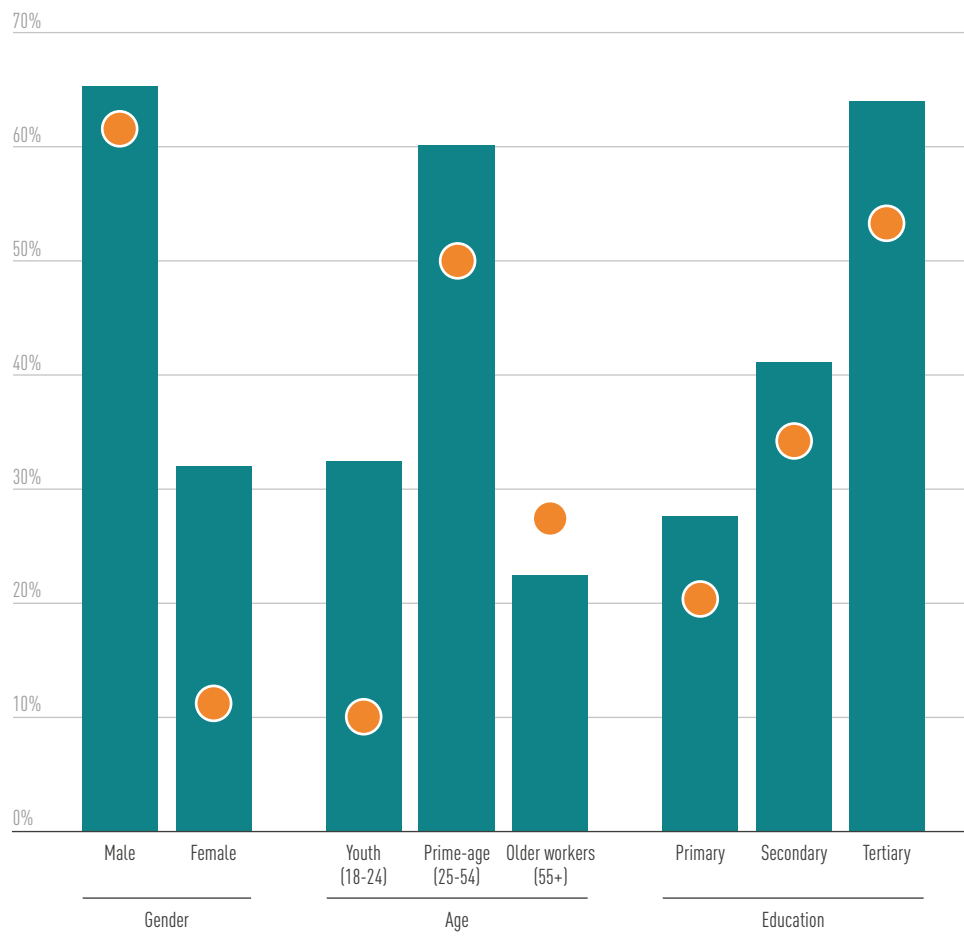
A large share of Saudi Arabia's workforce consists of prime-working-age (25–54) foreign workers, alongside Saudi nationals who are also primarily of prime working age. About 30.2 percent of Saudis are aged 18 to 24, and 61.5 percent are in their prime working years (25–54 years). Among expatriates, the structure is even more concentrated in the most-productive years, with 81.9 percent aged 25 to 54, 13.6 percent aged 18 to 24, and just 4.5 percent aged 55 to 64 (Figure 1). This large proportion of working-age population creates a significant opportunity for individuals to contribute productively to the economy, supporting economic growth. Accelerated and Inclusive Human Capital Activation Saudi Arabia's workforce is shaped by a large share of prime aged foreign workers alongside Saudi nationals who are also primarily of prime working age.

The working-age population is becoming increasingly educated; 35.8 percent of Saudis had tertiary education in 2025, up from 25.3 percent in 2015, and 24.4 percent of expatriates had a tertiary education in 2025, up from 18.2 percent in 2015. This combination of a young, expanding, increasingly educated workforce increases the potential for a demographic dividend, positioning the country for accelerated economic growth if employment opportunities are sustained.

Figure 1. Percentage of Saudi Nationals Employed According to Sex, Age, and Education, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Nationals



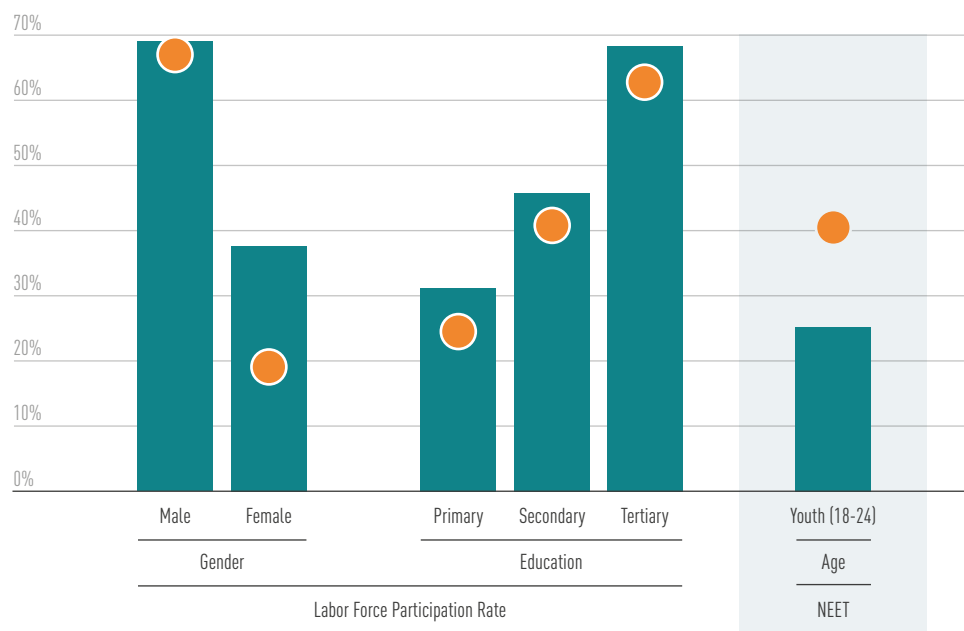
These demographic advantages can only translate into economic gains if sufficient people have access to employment opportunities and contribute productively. As Saudi Arabia continues to implement labor market reforms and shift toward private sector employment, in line with Vision 2030, inclusion of members of vulnerable groups, particularly youth and women, is critical for maximizing productivity; fostering social and upward economic mobility; and building a more-inclusive, prosperous labor market.

The Saudi labor market is moving toward capturing the demographic dividend to boost economic growth. The share of employed working-age Saudi people has increased across all main groups, including vulnerable groups.⁶ The employment-to-population rate reflects how well an economy is able to generate employment opportunities for its population. For women, the employment-to-population rate increased from 11 percent in 2015 to 32 percent in 2025. For those aged 18 to 24, the rate increased from 10 percent in 2015 to 33 percent in 2025 (Figure 2). Employment as a share of population has increased across all main education levels.

Figure 2. Labor Force Participation Rates & Not in Employment, Education or Training (NEET)

■ 2025
● 2015

Source: 3LMS Nationals



Rising employment has broadened labor market inclusion of vulnerable groups.

The increase in job opportunities has resulted in a notable decline in the number of individuals excluded from the labor market. Youth who are not in school or employed are especially vulnerable to labor market and social exclusion, because they are neither building skills for future employability nor gaining work experience. The proportion of Saudi youth who are not in school or employed dropped from 40 percent in 2015 to 25 percent in 2025. Saudi Arabia has also seen labor force participation rates increase for women and all education groups, highlighting the effect of employment growth on inclusion of groups traditionally at the margin of the labor market. Participation of women in the workforce can also contribute to GDP growth. Research indicates that achieving parity between women's and men's labor force participation could lead to an average increase of 20 percent in GDP per capita.⁷

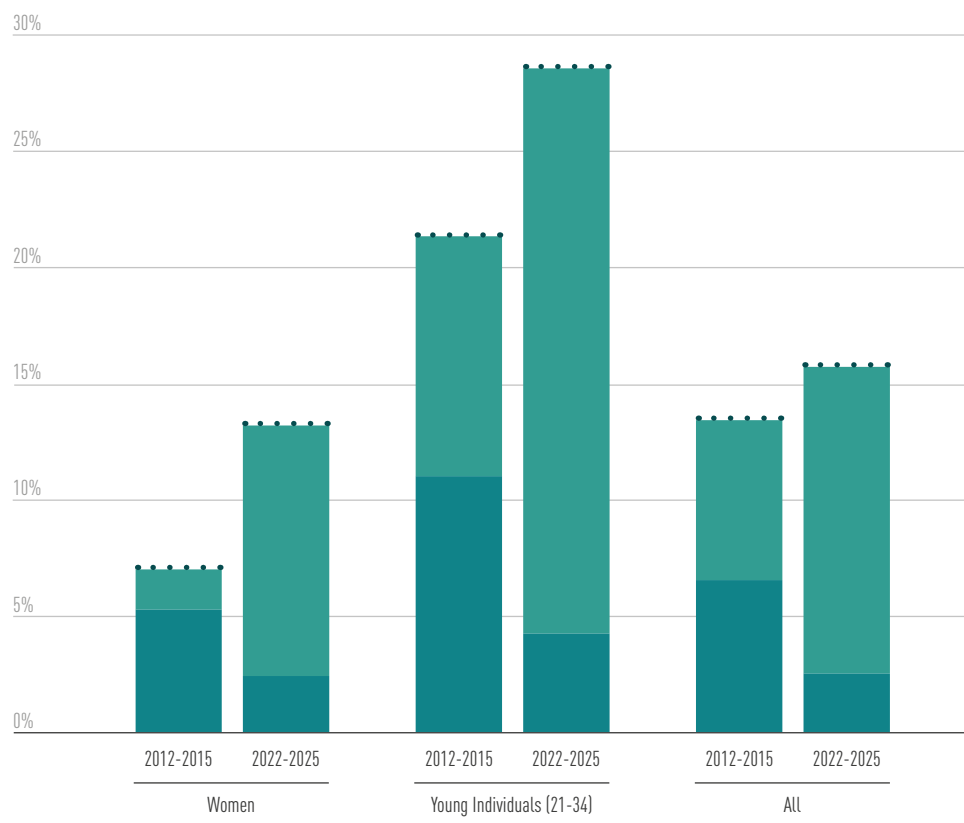
The increase in labor market activity is translating into jobs.

An increasing number of people are moving out of inactivity, and fewer individuals are remaining unemployed after job transitions out of inactivity, particularly women and youth (Figure 3). More people transitioned out of inactivity from 2022 to 2025 than from 2012 to 2015. Activity grew, especially among groups usually excluded from the labor market. The proportion of people aged 21 to 34⁸ and women who transitioned out of inactivity increased by 6 to 7 percentage points. More than half of the 21 percent of youth who were inactive in 2012 and became active and part of the labor force in 2015 had been unemployed. The proportion is even greater for women, with most of those who became active in 2012 being unemployed by 2015. In contrast, most young individuals and women who transitioned out of inactivity since 2022 were employed in 2025, a remarkable outcome indicating a labor market with enhanced capacity to absorb new entrants across groups.

Figure 3. Job Transitions Out of Inactivity for Youth and Women, 2012 to 2015 and 2022 to 2025

■ Into Employment
■ Into Unemployment
... Out of Inactivity

Source: 3LMS Nationals

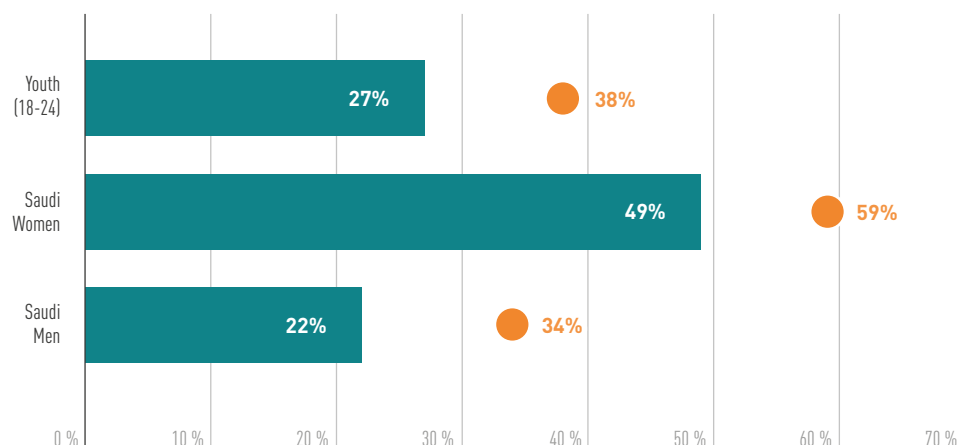


Shifting attitudes toward work are making workforce participation more attractive. The transition from inactivity to employment has been influenced by changing attitudes towards work over the last decade. In 2015, 59% of Saudi women, 34% of Saudi men, and 38% of youth expressed a preference for staying at home rather than participating in the workforce. These figures have since declined by more than ten percentage points, currently standing at 49% for women, 22% for men, and 27% for the youth. Vision 2030, the labor market strategy, and associated reforms influenced changing attitudes towards employment.

Figure 4. Share of Respondents Reporting That They Would Rather Be at Home Than Go to Work According to Sex and Age, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Nationals

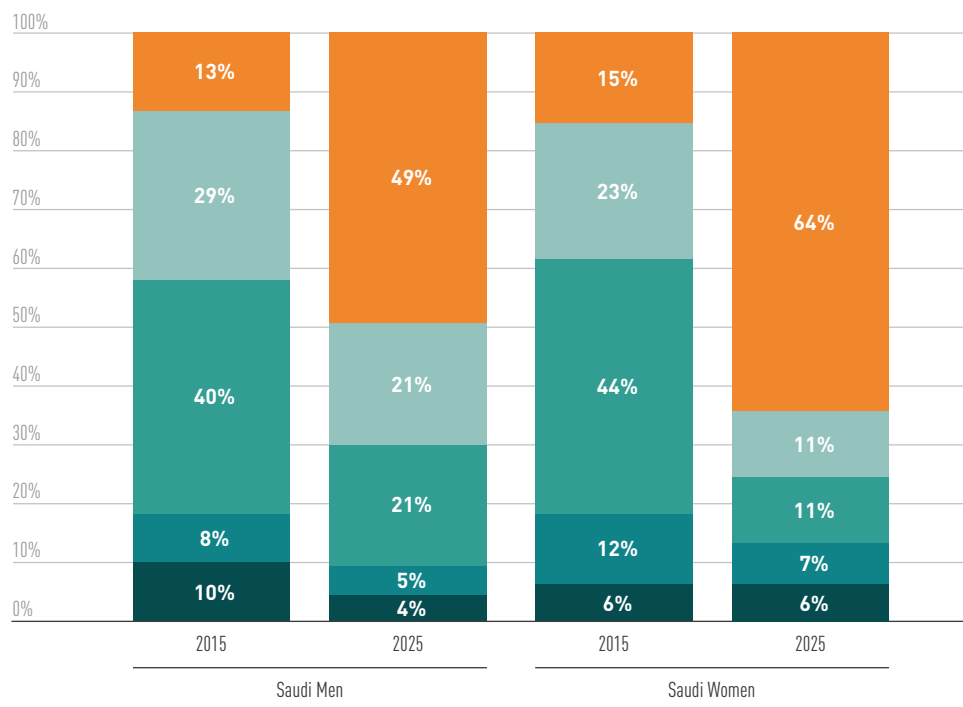


Rapidly changing social norms are opening workplaces to women. There is a noticeable decline in the proportion of Saudi men and women who believe that women should work solely from home or within female-only workplaces or sections. The percentage of men supporting employment exclusively in female-only environments has decreased from 43% in 2015 to 21% in 2025. Similarly, among Saudi women, this view has reduced from 44% to 11% over the same period. As mixed-gender workplaces become increasingly common, employers are experiencing lower costs since dedicated spaces for women are no longer required. Attitudes towards women working in mixed-gender settings have changed substantially; by 2025, 65% of Saudi women and 49% of Saudi men accept women working in such environments, compared to just 15% of women and 13% of men in 2015.

Figure 5. Acceptance of Saudi Women Working in Mixed-Gender Workplaces, 2015 and 2025

- Saudi women should work in mixed gender workplace
- Saudi women should only work for an employer that provides female only section
- Saudi women should work only on female-only workplaces
- Saudi women should work but only from home
- Saudi women should not work at all

Source: 3LMS Nationals



These findings are in line with a growing body of evidence from Saudi Arabia noting shifts in social norms about gender. Previous research shows that social norms have strongly shaped women's work decisions in Saudi Arabia, especially among young people and new generation. Most young married men privately support their wives working outside the home but systematically underestimate other men's support; simply correcting this misperception increased husbands' willingness to help wives search for jobs and led to higher subsequent job-search and interview rates for women.⁹ This is clear evidence that perceived norms are a binding constraint that can shift with information. Saudi Arabia has implemented a range of policy reforms to improve conditions for women in the workplace, including removing restrictions and preventing harassment.



BOX 3. THE RISE OF SAUDI WORKING MOTHERS

In the past decade, Saudi Arabia has made substantial strides in advancing women's economic participation by removing numerous barriers to work. Notable legal and labor law reforms have influenced women's labor supply decisions.

Recent labor market and gender reforms have enabled more Saudi women, including single and married mothers, to enter the workforce at higher rates. Of these groups, single mothers have seen particularly remarkable gains. In

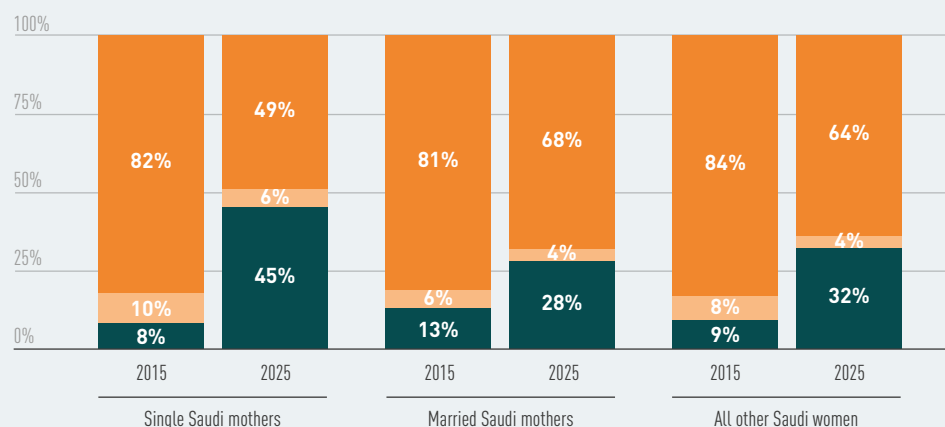
many high-income countries, working mothers are a vital segment of the workforce, and Saudi Arabia is now seeing a similar trend.

Single Saudi mothers' employment-to-population ratio increased from 8 percent to 45 percent over the last decade, with inactivity decreasing from 82 percent to 49 percent (Table B3.1). This is a tremendous increase, especially compared with married mothers or women without children.¹⁰

Figure B3.1. Labor Force Status of Saudi Women According to Marital Status and Motherhood

■ Inactive
■ Unemployed
■ Working

Source: 3LMS Nationals





Gender reforms have accelerated already-changing social norms. A range of gender reforms has been introduced, with the objective of breaking down barriers and encouraging participation of Saudi women. The government's emphasis on expanding women's economic empowerment under Vision 2030, together with recent gender reforms, has exposed genuine attitudes toward women working, paving the way for them to work.¹¹ Comprehensive institutional reforms have been implemented, establishing women's economic empowerment as a priority throughout government agencies. Entities were tasked with defining and meeting targets to enhance women's participation. Dedicated institutions were also established to support women's economic empowerment, and gender-sensitive budgeting was implemented.

Regulatory reforms strengthened protections and expanded opportunities, creating enabling conditions for women's participation and advancement. Workplace protection against harassment under the Anti-Harassment Law mandated prevention, reporting, and response, promoting dignified, safe work environments. Driving reforms operationalized the 2017 Royal Decree by eliminating mobility restrictions and cementing licensing, enforcement, and road-safety systems. Prior regulatory restrictions regarding the industries in which women could work and the hours they could work were abolished in 2020, increasing employment opportunities for women.

Employers were also prevented from firing women during pregnancy in 2019, and maternity leave was extended from 10 to 12 weeks in 2025. To prevent an increase in the financial burden on employers due to longer maternity leave, pension reforms also shifted maternity leave financing to social insurance, with men and women all contributing.

Targeted gender-sensitive programs support women's entry, retention and career progression in the private sector. Wusool (a youth empowerment platform) subsidizes commuting costs for women in the private sector to ease entry and improve early-career retention, and Qurrah (a Human Resources Development Fund initiative) offsets childcare expenses to support continued employment and career progression for mothers. Complementary gender-sensitive employment support programs address matching frictions and structural barriers through tailored coaching, placement, and employer engagement so that more women can enter good-quality jobs, remain employed, and advance over time. A next-generation, inclusion-focused activation agenda can help boost participation across all segments by promoting active aging and expanding affordable childcare and supports to help mothers and parents enter and remain in the labor market. An in-work benefits program can help raise take-home pay for low-wage earners and narrow wage gaps between the public and private sectors and between Saudis and expatriates. Tailored activation plans can target inactive groups of youth through enhanced employment support services and barrier-specific interventions for sustained workforce integration.

Saudi Arabia's recent labor market gains have expanded employment levels; the next challenge is to improve job quality and matching efficiency. Recent employment gains in Saudi Arabia have been concentrated in margins, with broad increases in headcounts and participation across genders and age groups. These improvements have been largely quantity driven, reflecting more people entering and remaining at work rather than widespread advances in job quality. The priority now is to shift the focus toward job quality, including hours worked, employment contract stability, wage growth, career progression, and better matches between worker skills and firm needs. The next section highlights early signs of improvement in job quality and matching efficiency and explains how continued reforms can consolidate these gains and translate employment growth into productive, resilient and more inclusive labor market outcomes.



A More Dynamic Private Sector

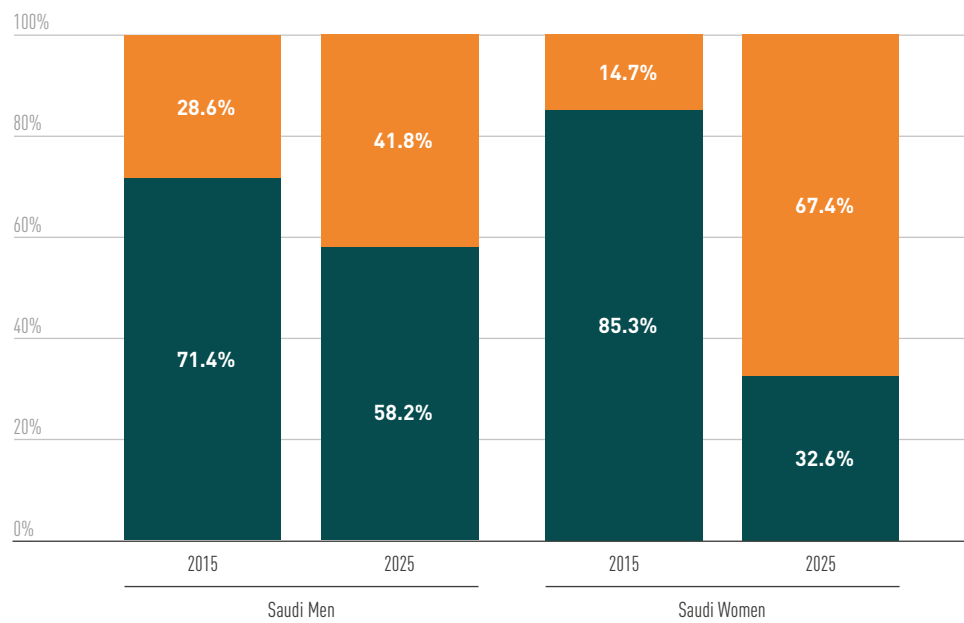
A Shift Away from Public Sector Employment

As Saudi Arabia's labor market evolves, the private sector's expanding role is creating more-inclusive opportunities for Saudi nationals, women, youth, and less-educated workers. In 2025, half of employed Saudis worked in the private sector, up from 26.5 percent in 2015 (Figure 6). The increase in the share of employed women in the private sector is striking. In 2015, 85 percent of working women were in the public sector and 15 percent in the private sector, but by 2025 these figures had reversed, with most women now working in the private sector.¹²

Figure 6. Sectoral Distribution of Employment of Saudi Nationals According to Sector

■ Private sector
■ Public sector

Source: 3LMS Nationals

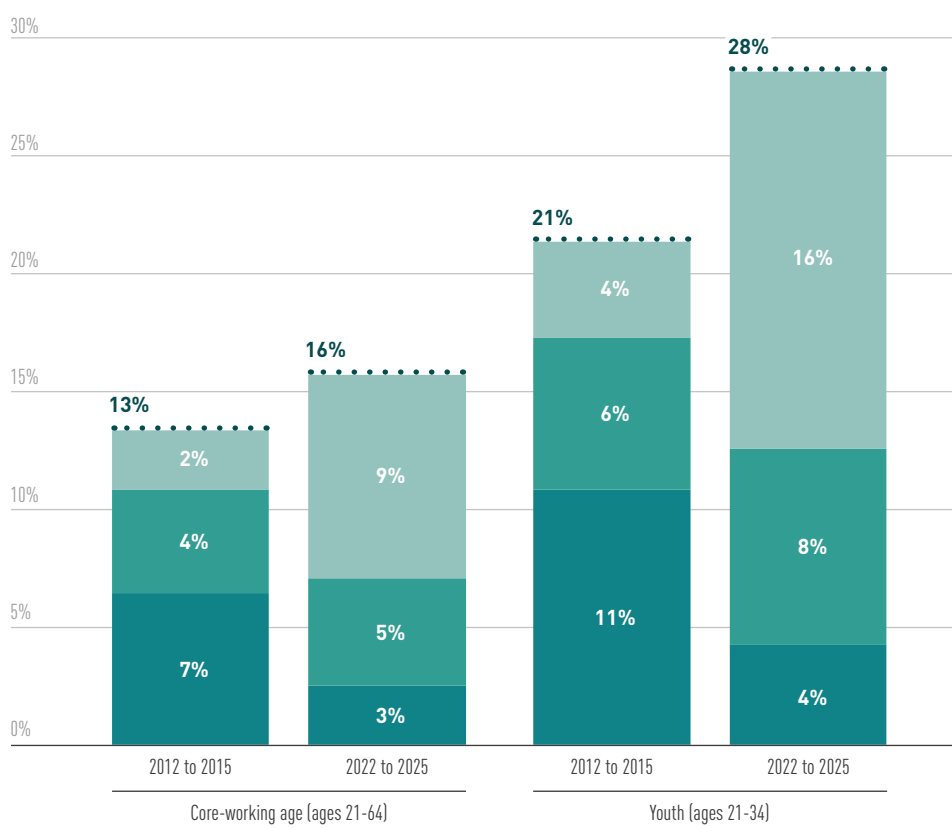


Most individuals moving from inactivity to employment are now entering the private sector, a significant shift for a country where public sector jobs once dominated job creation. Most new entrants aged 21 to 64 have found jobs in the private sector, in contrast to the period between 2012 and 2015, when the public sector absorbed most. Between 2022 and 2025, approximately 9 percent of the population aged 21 to 64 and 16 percent of those aged 21 to 34 secured employment in the private sector, whereas only 6 percent aged 21 to 64 and 8 percent aged 21 to 34 joined the public sector (Figure 7). These figures highlight the growing importance of the private sector in increasing labor market inclusion for Saudi workers. These are similar dynamics to high-income countries, where job creation is predominantly from the private sector. That is, when people transition into jobs, they overwhelmingly land in the private sector. For France, Spain and the United Kingdom, the quarterly job-finding rate from unemployment is roughly 20 percent into private jobs but only up to 3 percent into public sector jobs.¹³

Figure 7. Share of Saudi Workers Transitioning Out of Inactivity to Employment According to Sector, 2012 to 2015 and 2022 to 2025

- Into Private Sector Employment
- Into Public Sector Employment
- Into Unemployment
- Out of Inactivity

Source: 3LMS Saudi Nationals



The shift away from public sector jobs toward private sector employment increases efficiency and reduces fiscal pressures. Efficiency is enhanced by reallocating labor to a more competitive private sector, reducing the crowding out effects of an oversized public sector, and allowing resources to flow to more-productive uses.¹⁴ The shift also helps reduce the public sector wage bill, creating fiscal space for other investments in priority areas.

Localization reforms have been a central pillar for catalyzing initial higher participation of Saudi nationals in private sector employment. Localization is Saudi Arabia's sector-based strategic approach to nationalization policy, seeking to increase employment of Saudi nationals in the private sector by setting sector- and firm size-specific localization requirements, reserving certain jobs, or meeting certain allocation of jobs for Saudis at specific wage levels. These programs span retail, telecommunications, consultancy, education, and other sectors through calibrated localization ratios, wage floors, and compliance mechanisms. In addition, the Nitaqat program, launched in 2011, is a quota enforcement system that classifies firms into compliance bands based on their Saudi employment share, economic activities, and size. Building on Nitaqat and its modernized iteration, Mutawar, Saudi Arabia has deployed sector-specific quotas and multi-year trajectories to encourage firms to recruit, develop, and retain Saudi talent.

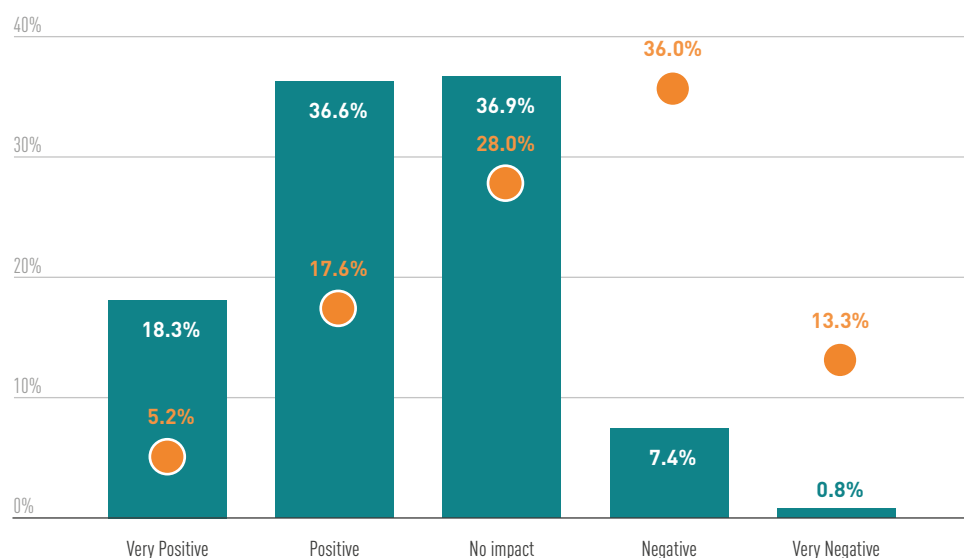
Localization policies may have had unintended consequences in the past, causing employers to view them unfavorably. A study¹⁵ conducted between 2011 and 2015, after Nitaqat was implemented, indicated that the policy may have increased firm exit rates and reduced the likelihood of exporting. In 2015, nearly half of employers believed that these policies harmed their operations.

However, employers' views on the impact of localization policies are changing as the policies' contribution to the surge in private sector employment decreases. The proportion of employers who felt that localization harmed their operations dropped to 8.2 percent, whereas 37 percent reported no effect (Figure 8). This is an indication that, as reforms related to the LMS are implemented, localization policies will gradually become less crucial for Saudi job creation in the private sector, even as localization's foundational role remains important in safeguarding Saudi employment.

Figure 8. Firms' Perceptions of the Impact of Localization Policies

■ 2025
● 2015
(% of employers)

Source: 3LMS Firms



Alongside the reforms to the labor market, the COVID-19 pandemic may have played a role in accelerating employment of Saudis, especially women. The pandemic may have contributed to the employment surge via a labor demand shock,¹⁶ as many foreign workers left the country when the pandemic began. As economic activity resumed a few months later, employers unmet demand for workers, positioned Saudis, particularly women, to step in to fill these vacancies. Saudi women primarily entered employment in sectors where foreign employment had decreased.¹⁷

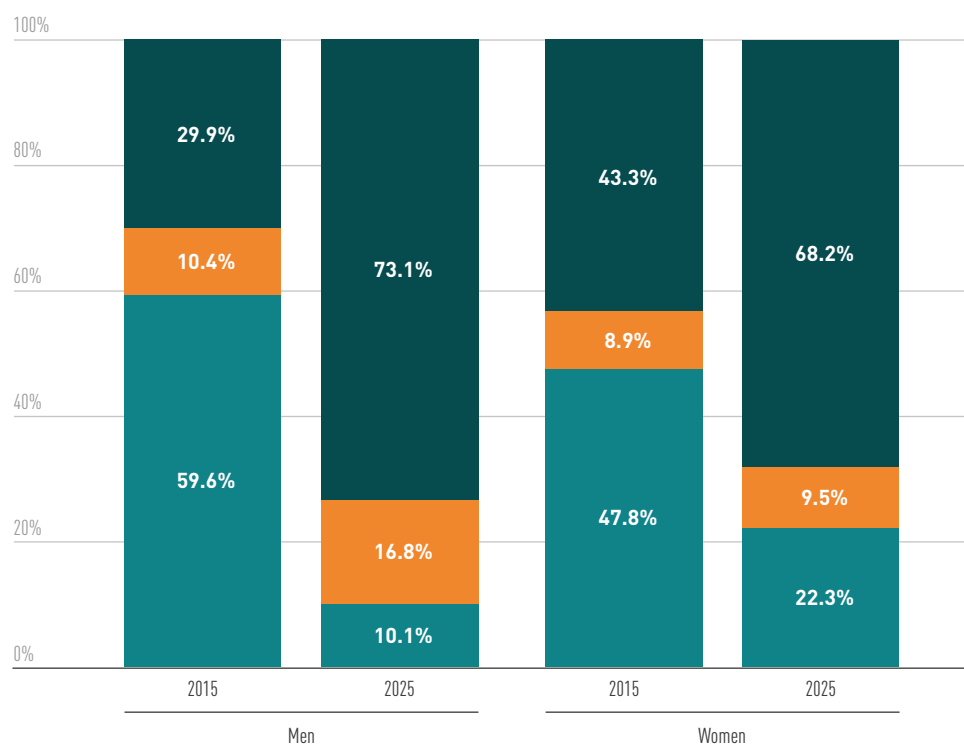
From the supply side, Saudis' opinions about the private sector improved, helping close the preference gap with the public sector. Saudis had traditionally exhibited a strong preference for public over private sector employment because of higher average pay, greater job stability, better benefits, less pressure to be productive, and more difficulty dismissing workers, which made public sector positions especially appealing to women. Unemployed people seeking jobs solely in the public sector on average have 15.6 percent higher reservation wages than those seeking private sector jobs. As of 2015, most employed Saudis, 72 percent of men and 86 percent of women, worked in the public sector. Today, the employment distribution of Saudis is roughly equally split between the public and private sectors.

Few unemployed Saudis now seek only public sector jobs. In 2015, of unemployed Saudis, 60 percent of men and 48 percent of women sought employment exclusively in the public sector, whereas in 2025, 10 percent of men and 22 percent of women did so (Figure 9).

Figure 9. Sector of Work Sought by Unemployed Saudis According to Sex, 2015 and 2025

■ Government Job
■ Job in a company or other private sector organisation
■ Both

Source: 3LMS Nationals

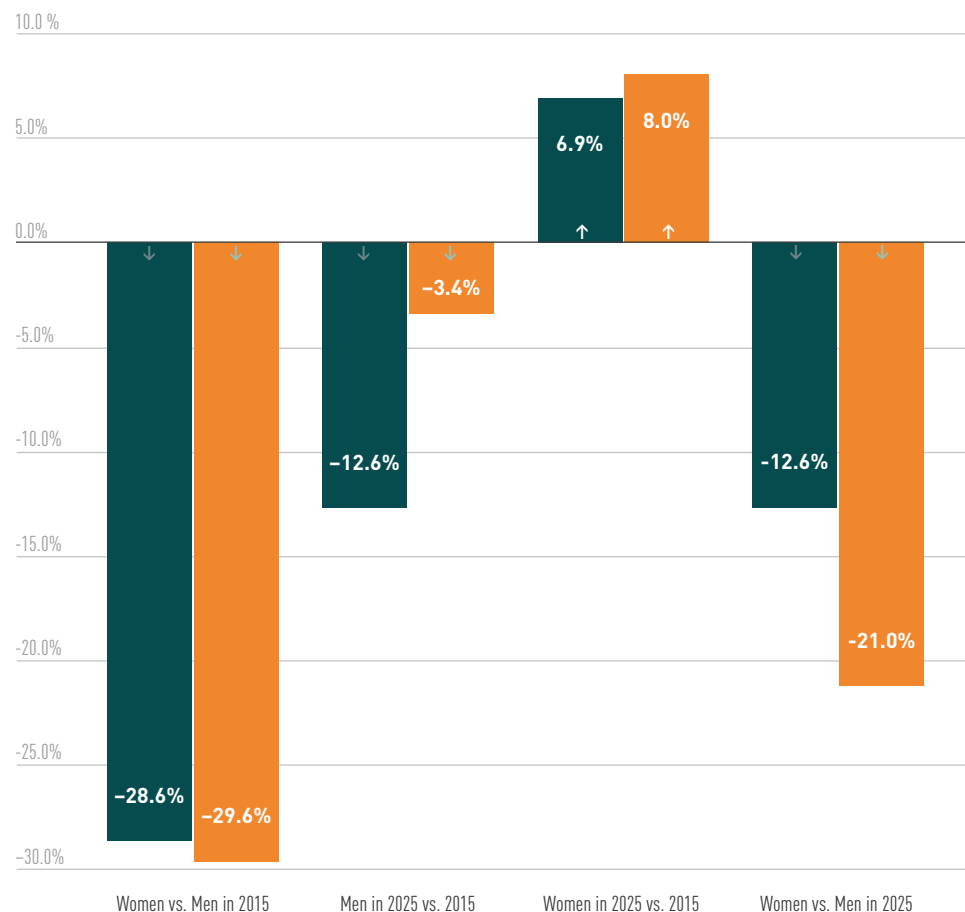


Wage expectations in the private sector have also changed. Reservation wages for men decreased on average by approximately 12.6 percent, increasingly aligning with actual wages offered in the private sector. Conversely, women's reservation wages rose by 6.9 percent, decreasing the gender gap in reservation wages as women began to expect earnings comparable with those of their male counterparts. Women's real wages increased in 2025 on average by 8 percent, further narrowing the gender wage gap but not eliminating it (Figure 10).

Figure 10. Selected Regression Coefficients for Real Wages and Reservation Wages, Saudi Nationals

■ Reservation wages
■ Wages in private sector

Note: Regressions with dependent variables "private sector wages" and "reservation wages." Reservation wages and total salaries are expressed in logarithm of constant 2018 prices. Nominal values were deflated using the Consumer Price Index to remove the effect of inflation and allow comparability over time. Because reservation wage and total salary data were originally reported in brackets, the midpoint of each bracket was used as the representative value for constructing the distribution.



Several institutional reforms helped narrow the gap in preferences between the public and private sectors. The institutional consolidation and realignment reforms targeted the longstanding distortion of segmentation between public and private employment by unifying policy, governance, and service delivery. At the institutional level, merging the ministries of Labor and Civil Service created a single authority to align incentives and enable integrated strategies for participation, mobility, and productivity. At the program level, an initiative to consolidate job-matching platforms by merging the platform for private sector vacancies and the civil service jobs platform into a unified Jadarat platform was implemented to increase search efficiency and reduce frictions.

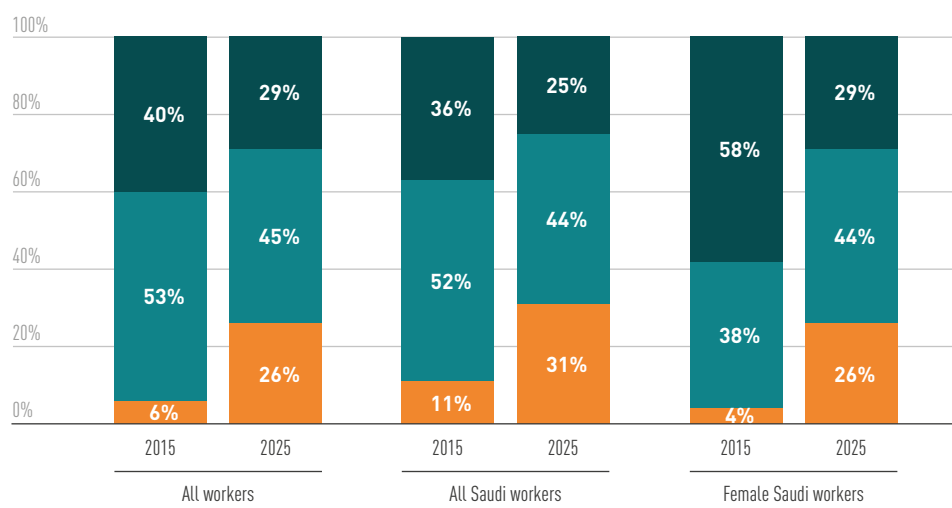
A Shift Toward Employment in Micro Firms

Between 2015 and 2025, Saudi Arabia experienced a notable shift in employment toward micro firms. In 2015, micro firms (1–4 employees) accounted for 6 percent of all workers, SMEs (5–99 employees) accounted for 53 percent, and large firms (>100 employees) accounted for 40 percent. By 2025, the share of employment in micro firms had risen dramatically (to 26 percent), reflecting a significant increase in the importance of very small businesses for employment. Employment in SMEs declined moderately (to 45 percent) during the same period, and large firms saw a sharper decline in their overall contribution to employment (to 29 percent) (Figure 11).

Figure 11. Employment Distribution According to Firm Size, Nationality, and Sex

■ Large
■ SME
■ Micro

Source: 3LMS Firms



The shift in employment for Saudi workers according to firm size has been equally remarkable. In 2015, micro firms employed only 11.2 percent of Saudi workers, but by 2025, this had surged to 31.1 percent. Meanwhile, the share of Saudi employment declined slightly in SMEs (from 52.3 to 43.7 percent) and more so in large firms (from 36.5 to 25.2 percent). This transformation highlights a significant move toward micro firms of Saudi workers, reflecting changing labor market dynamics and a growing role for small firms in the Saudi economy.

The employment structure for Saudi women underwent a dramatic transformation from 2015 to 2025, particularly in the type of firms in which they work. In 2015, only 3.7 percent of Saudi women worked in micro firms, but by 2025, this had soared to 26.4 percent. Female employment in SMEs also grew, rising from 38.4 to 44.1 percent, whereas the proportion of Saudi women working in large firms dropped sharply from 57.9 percent to 29.4 percent. This shift among women is in line with the overall trend in employment shifting toward smaller firms, especially micro enterprises.

This change underscores a clear shift in employment toward micro firms.

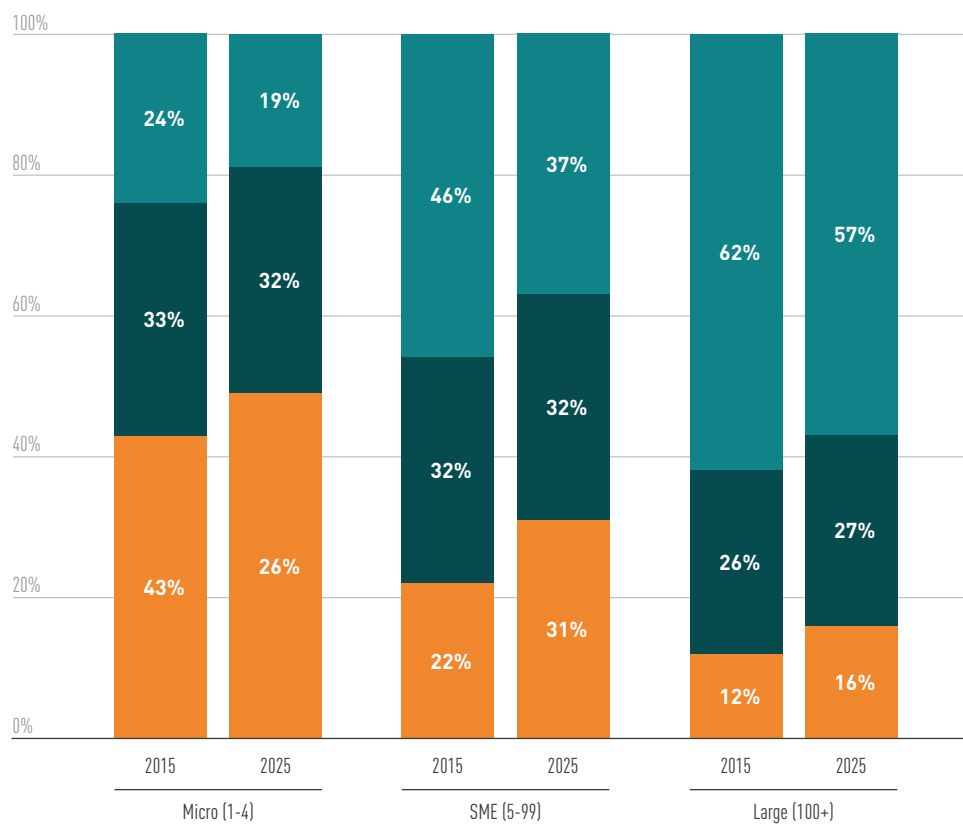
This could be a positive story if greater firm entry rates or increasing entrepreneurial activity is driving this increase, because Saudi Arabia has been investing heavily in entrepreneurship and startup support, but existing imbalances and distortions in the economy could be driving this trend, limiting firm dynamics and growth and in turn leading to a micro firm build-up at the expense of growth (Box 4). What is clear is that there is a notable shift away from reliance on larger enterprises as the main source of employment.

Firms of all sizes are upskilling. There was a clear shift toward more-skilled labor between 2015 and 2025 across all firm sizes. The share of managerial and professional staff rose notably: from 43 to 26 percent in micro firms, 23 to 31 percent in SMEs, and 12 to 16 percent in large firms (Figure 12). Meanwhile, manual workers' shares declined—from 24 to 19 percent in micro firms, 46 to 38 percent in SMEs, and 63 to 57 percent in large firms—indicating a decrease in reliance on manual labor. Non-manual workers remained broadly stable, with minor shifts (micro: 34 to 32 percent; SMEs: steady at 32 percent; large: 27 to 28 percent). Overall, the composition points to a shift toward managerial and professional roles, suggesting skill intensification and organizational sophistication across the firm size spectrum. The rising share of highly skilled workers alongside the decline in manual workers may suggest that firms are adopting more-skills-intensive production methods and technology, which could boost productivity and continue to increase demand for advanced skills.

Figure 12. Average Occupational Structure According to Firm Size, 2015 and 2025

■ Manual workers
■ Non manual workers
■ Managerial and professional staff

Source: 3LMS Firms



BOX 4. OPPORTUNITIES AND CHALLENGES OF MICRO FIRMS FOR SAUDI ARABIA

Micro firms are a vital source of jobs and inclusion. They absorb large numbers of workers and can be essential for labor market inclusion of vulnerable groups, yet the same structural features that make them so prevalent also limit their productivity, technology adoption, and job quality, creating a fundamental trade-off between broad employment generation and long-run productivity growth.

Micro firms make up a significant share of firms in Saudi Arabia and are contributing to employment (Figure B4.1). They play a crucial employment role, serving as a primary entry point into the labor market for youth, women, and low-skilled workers.¹⁸ Their sheer numbers make them responsible for much of net

job creation in many developing economies.¹⁹ Micro firms and entrepreneurs play a key role in job growth.

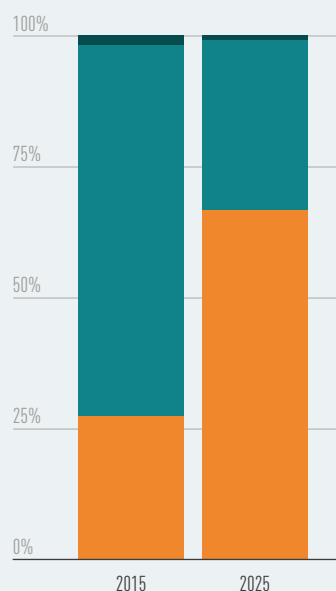
Nevertheless, structural shifts toward micro firms present challenges for productivity and economic diversification. Economies dominated by micro firms often face persistent productivity challenges, driven by limited capital and technology adoption and skills bottlenecks and gaps.²⁰ Controlling for regions and industries, micro firms in Saudi Arabia are less likely to recruit for business expansion than larger firms. They use a less-complex mix of skills than larger firms and often rely on informal, non-skills-based recruitment channels.²¹ Analysis of administrative data shows that few micro firms in operation in 2015 were still in existence in 2025, but most of those that were had increased their employment.

Expanding support for micro firms and new entrepreneurs can help Saudi Arabia support the potential of micro firms, avoiding workers being stuck in low-productivity jobs or slowing structural transformation. Although more research is needed to understand the drivers behind this increase in the number of micro firms, increasing access to finance, embracing technology and digitalization for micro firms to leapfrog, enabling integration with value chains and skills, and providing training and recruitment support can turn micro firms into an engine of dynamism and job creation.

Figure B4.1.
Distribution of
Firms by Size,
2015 and 2025

■ Large
■ SMEs
■ Micro

Source:
3LMS Firms



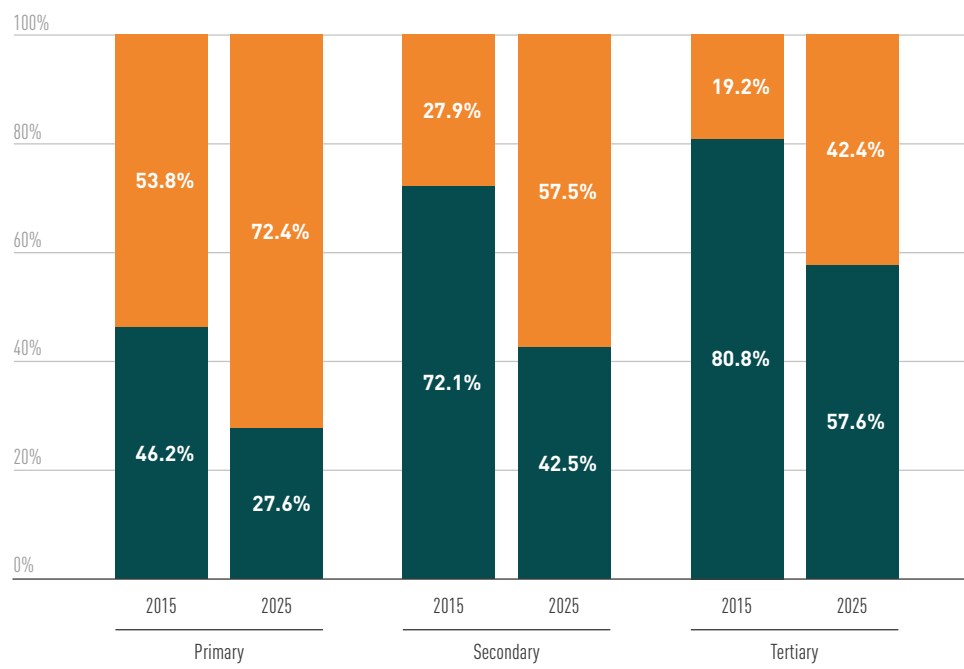
Greater Use of Human Capital

The private sector is seeing gains from an influx of skilled Saudi workers across all levels of education, leading to a general upskilling of the private sector workforce. In particular, participation of Saudis with tertiary education in the private sector has risen. In 2015, only 19 percent of Saudi workers with tertiary education were employed in the private sector, with 81 percent in the public sector, but this has shifted considerably; by 2025, the share of Saudi workers with tertiary education in the private sector had increased to 42 percent (Figure 13).

Figure 13. Distribution of Employment According to Education Level and Public versus Private Sector, 2015 and 2025

Private sector
Public sector

Source: 3LMS Nationals



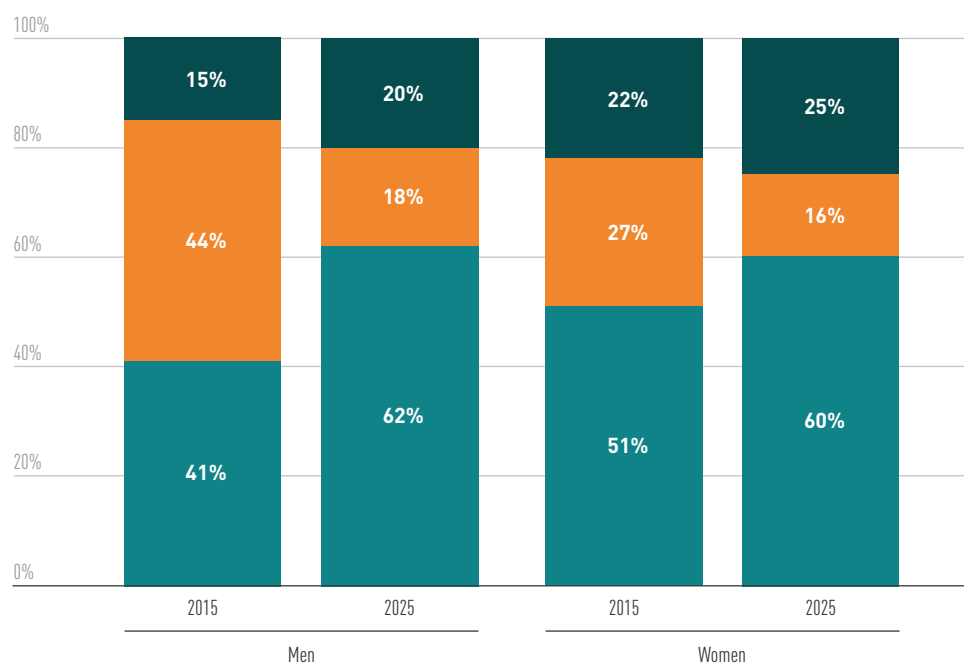
This trend may suggest that the private sector is becoming increasingly competitive in attracting skilled Saudi talent, challenging the traditional dominance of the public sector. The public sector has also experienced shifts at lower skill levels, particularly among Saudi workers with primary and secondary education. In contexts in which public wage bills are large and public sector employment is highly attractive, this can lead to queuing for government jobs and measurable displacement of private sector employment—the “crowding out” effect. This is not exclusively a Gulf Cooperation Council phenomenon; evidence of crowding out has been documented in various contexts outside Saudi Arabia and the region where this dynamic has been more prevalent.²² These crowding out effects tend to be more pronounced where formal private sector jobs are scarce, public sector compensation is compressed but relatively generous for young or entry-level hires, and governance frameworks enable weak performance management.²³

The qualification mismatch of Saudis in the private sector was lower in 2025 than in 2015, with more workers having educations that matched their job requirements. The proportion of Saudis with qualifications appropriate for their occupations increased from 41 to 62 percent for men and 51 to 60 percent for women, indicating a decrease in the disconnect between educational achievement and labor market needs. The share of underqualified Saudis, defined as those who are performing occupations for which they lack formal qualifications, declined from 44 to 18 percent for men and 27 to 16 percent for women. Meanwhile, the share of overqualified Saudis, individuals whose education exceeds job requirements, increased slightly (Figure 14).

Figure 14. Qualification Mismatch in Private Sector, 2015 and 2025

Overeducated
Undereducated
Matched

Source: 3LMS Nationals



The increase in the share of well-matched Saudi workers in the private sector may have implications for productivity growth in the private sector.

Reducing mismatches raises productivity primarily through better use of human capital and greater allocative efficiency, because high-productivity firms can attract the skills they need to expand and adopt new technologies, a key driver of total factor productivity growth. In high-income countries, high levels of qualification mismatch are associated with lower labor productivity. Increasing skills allocative efficiency in Organization for Economic Cooperation and Development (OECD) countries is associated with productivity gains of up to 7 to 10 percent.²⁴ Despite rising education levels and skills, measured productivity appears to be stagnant or declining.²⁵ This coexistence between improved human capital with weak productivity growth may reflect a time-lag between human capital investment and realized output, or a transition period as the economy reallocates labor from the public to the more competitive private sector.

Skills mismatch can lead to a penalty or premium in wages that is not reflective of a worker's productivity. The qualification mismatch penalty for Saudi workers, measured as the earnings loss from being undereducated relative to job requirements, is high and remained sticky from 2015 (–15 percent) to 2025 (–17 percent). The undereducation penalty is persistently higher for women and barely budged between 2015 (–22 percent) and 2025 (–20 percent) (Figure 15).

Figure 15. Wage Penalties Associated with Underqualification Mismatch, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Nationals
Coefficients are statistically significant:
* $p < 0.1$



Note: Regressions use the dependent variable “wage.” Total salaries are expressed as the logarithm of constant 2018 prices. Nominal values were deflated using the Consumer Price Index to remove the effect of inflation and allow for comparability over time. Because total salary data were originally reported in brackets, the midpoint of each bracket was used as the representative value for constructing the distribution. Separate regressions were conducted for all nationals, Saudi men, and Saudi women for 2015 and 2025. All regressions control for age, region, occupation, and private sector employment.

Skills reforms have greatly enhanced the private sector's use of human capital, targeting critical labor market frictions by aligning training with demand, accelerating skill acquisition, and standardizing competencies across the economy. A national skills strategy has been created, with several guiding principles: establishing an enabling environment and appropriate governance structure; responding to labor market demands; using timely and accurate information; maintaining credibility, transferability, and relevance of skills through quality assurance; and fostering partnerships among educational and training providers, the private sector, and government.²⁶

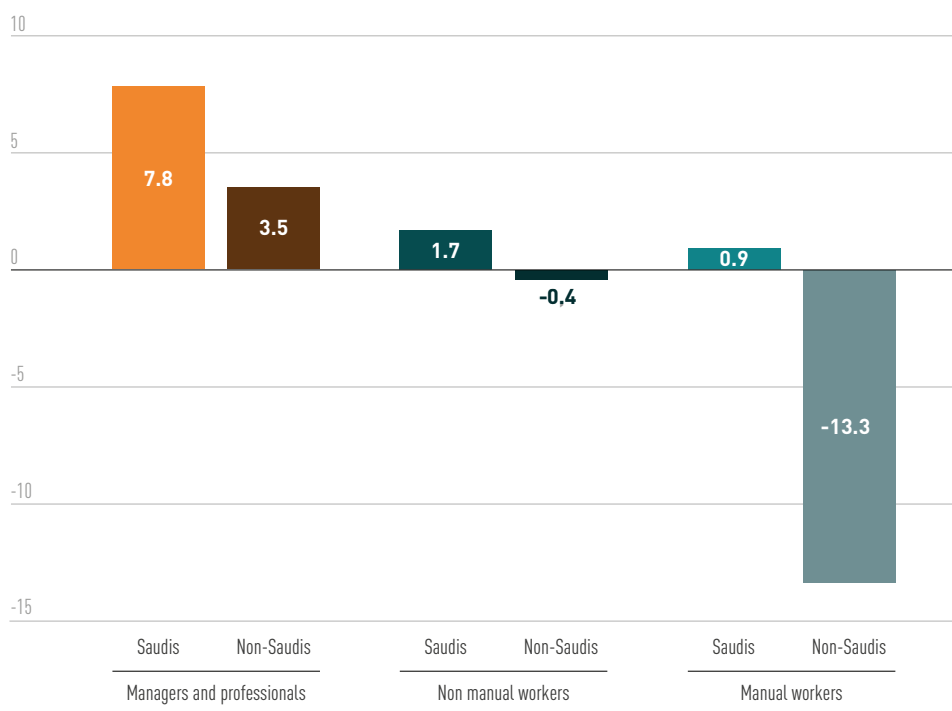
Several initiatives have been developed under the strategy to establish a coordinated skills system. To address the disconnect between supply and demand, 15 sector skills councils have been formed to facilitate connections with industries. By involving the private sector directly, the government ensures that training and educational outcomes reflect the actual, current, and future needs of Vision 2030–aligned industries. Creation of a sector skills framework, a skills taxonomy, and national occupational standards provides the essential technical infrastructure for alignment of education and employment. This framework translates economic demand into measurable, standardized skills, which is the foundational step required to eliminate the ambiguity that contributes to the skills mismatch problem. Finally, the Skill Accelerator Program focuses on rapid upskilling and reskilling through short, intensive, market-relevant courses to close immediate skills gaps and enable faster job placement, speeding slow transitions and mismatches that delay employment.

A new wave of next-generation skills development reforms can broaden access to a comprehensive lifelong learning journey, integrating recognition of prior learning and micro-credentials to validate skills acquired through formal education and work-based learning pathways. Expanding firm-based training and expanding high-quality technical, vocational, and engineering training across key sectors can help improve job outcomes and more closely align skills development with employers' needs. To prepare the workforce for an AI-enabled economy, a national AI learning initiative could help integrate foundational digital competencies with emerging technologies such as generative AI, helping individuals leverage their foundational competencies and technology for enhanced decision making in the digital era. Next-generation skills development reforms can help prepare the country for growing demand for a skills-intensive workforce in the context of a diversified economy under Vision 2030.

From the demand side, employment patterns are shifting toward higher-skilled occupations, with demand from the private sector for manual work declining, signaling a shift toward production of higher-value goods and services (Figure 16). Firms are increasingly moving toward employing Saudis and expatriates in management and professional roles, as a 7.8-percentage-point increase among Saudis and a 3.5-percentage-point increase among expatriates indicate. The most significant change in occupational distribution has come at the expense of manual jobs, especially for non-Saudis, who experienced a 13.3-percentage-point decrease in manual work between 2015 and 2025. This shift has mostly occurred in SMEs, where the share of manual workers decreased on average by 8.6 percentage points within SME firms. The results are consistent with previous research showing similar shifts toward higher skills in Saudi Arabia.²⁷

Figure 16. Changes in Occupational Composition of Employment, Saudis and Expatriates, 2015–25

Source: 3LMS firms



This shift is consistent with global trends, particularly with skills-biased technological change shifting work patterns. Technological change, globalization, and demographic shifts are driving a global transition toward higher-skilled occupations, with manual and routine jobs increasingly at risk of automation and displacement.²⁸ The share of employment in routine manual and cognitive occupations has declined. Adoption of digital technologies, robotics, and AI has increased global demand for workers with advanced skills, with routine tasks becoming increasingly automated.

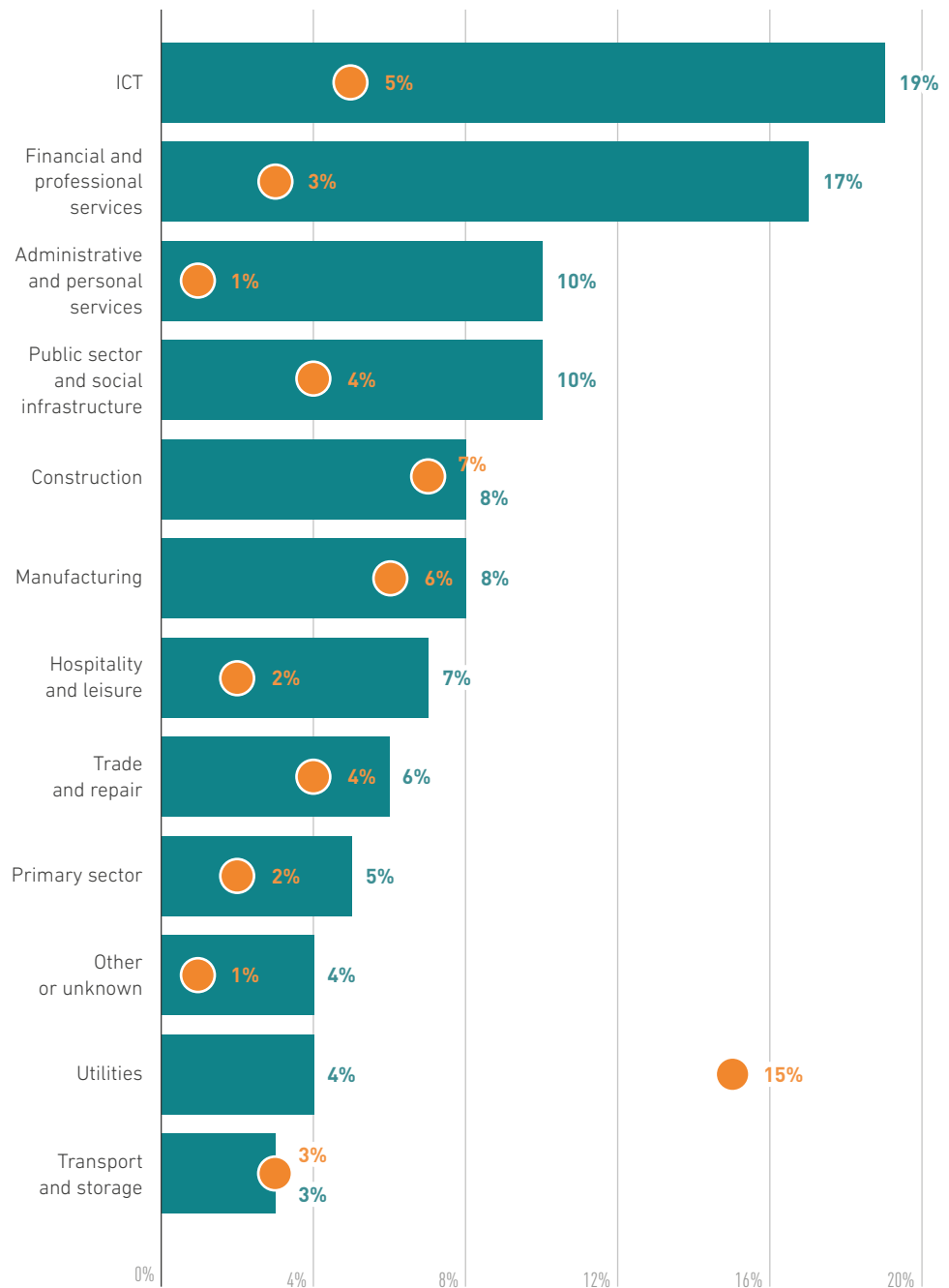
New employment is also shifting toward higher-value-added, knowledge-intensive sectors, including the information and communications technology (ICT) sector, with the digital economy becoming a key pillar of economic growth. Among firms expanding their businesses, growth is most pronounced in traditionally higher value added sectors, with the ICT sector showing the most significant change: 19 percent of firms recruited to expand new businesses between 2015 and 2025 (Figure 17). As one of the most knowledge-intensive, high-value-added segments in high-income economies, that substantial investments in new technologies has driven the expansion of ICT in Saudi Arabia. This has helped boost highly skilled activities such as software, data, and AI services, with the digital economy accounting for about 15 percent of GDP, highlighting ICT's growing role as a driver of growth and productivity.²⁹



Figure 17. Sectoral growth in employment. % of firms that recruited workers to expand business

■ 2025
● 2015

Source: 3LMS Firms



Saudi Arabia's rapid growth in ICT aligns with global trends, with ICT a major source of job creation and economic transformation. Internationally, the sector is recognized for its high levels of innovation and research and development and leads in business research and development intensity, with industries such as computers, electronics, and optics investing heavily in research, reaching up to 33 percent of value added in France, 28 percent in Finland, and 24 percent in the United States in 2016.³⁰ The ICT sector expanded approximately three times as fast as the overall economy in OECD countries between 2013 and 2023, including a growth rate of 7.6 percent in 2023.³¹ This global momentum underscores the significance of Saudi Arabia's investments and the sector's role as a key engine of growth and productivity.

Gradual Shift Toward Attracting and Retaining High-Skilled Foreign Workers

With changes in employment patterns, reliance on low-skilled foreign labor is slowly giving way to higher-skilled, better-educated workers, in line with Vision 2030's push for a diversified, knowledge-intensive economy. The proportion of foreign working-age individuals with primary education declined by 15 percentage points, whereas the share with tertiary qualifications rose by 6 percentage points (Figure 18). The number of foreign working-age individuals with English proficiency also increased by 11 percentage points, with half of the foreign population's proficiency in English ranked very good or good (Figure 19).

Figure 18. Expatriate working-age population by education, 2015 and 2025

■ Primary
■ Secondary
■ Tertiary

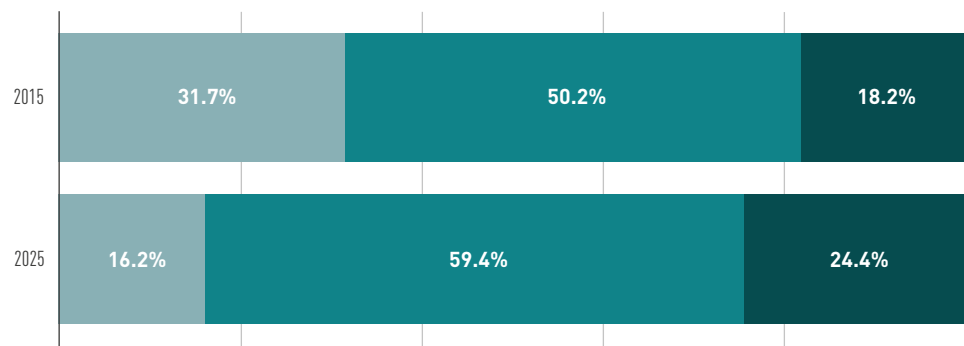
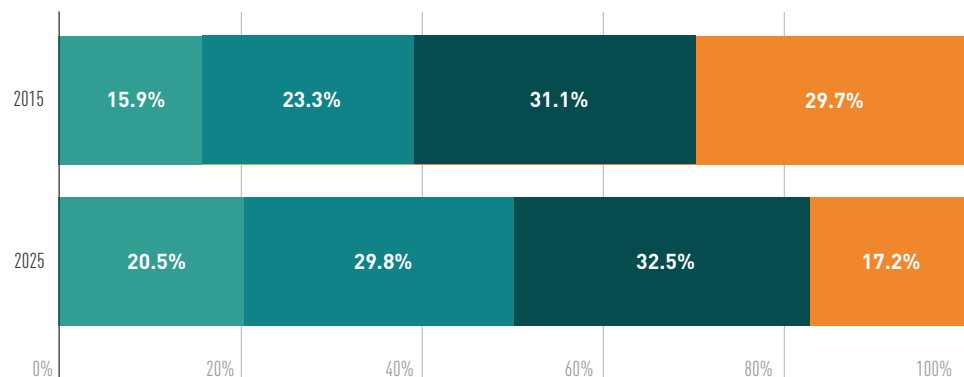


Figure 19. Expatriate working-age population by proficiency in English, 2015 and 2025

■ Very well
■ Well
■ Not very well
■ Not at all



To accelerate this shift toward high-skilled talent, the Saudi government introduced a new system²² for categorizing work permits according to skill level. The new system is designed to attract foreign workers with diverse abilities and help achieve its LMS target of boosting the proportion of highly skilled foreign employees and the country's ranking in the talent attraction index. The skills categories were identified based on the Saudi Standard Classification of Occupations and other criteria such as educational qualification, professional experience, wages, and age. Three skills levels were identified: highly skilled, skilled, and basic. The classification system is fully automated on the Qiwa platform (Box 5). A media campaign was launched to disseminate this classification and increase transparency regarding the reforms. The reform covers all foreign workers, both current and new arrivals.

BOX 5. SAUDI ARABIA'S QIWA PLATFORM

Qiwa, Saudi Arabia's state-of-the-art labor market governance platform, was launched in 2019 to digitize employer–employee relationships, enhance private sector efficiency and transparency, and deliver reliable labor market data to support growth. It provides services to all labor market stakeholders—government entities, workers, sector representatives, firms—across Saudi Arabia and provides a range of services.



SERVICES FOR EMPLOYERS

- **Establishment management.** Registration of new establishments; maintenance of the establishment file; management of core business operations online, including compliance tools, indicators, calculators, and guidance
- **Workforce entry and authorization.** End-to-end handling of work visas (permanent, temporary, seasonal) with quota management and refunds for unused visas, plus streamlined issuance and renewal of foreign worker permits
- **Employment lifecycle and mobility.** Creation and management of employee contracts with expiry tracking, support of occupation change and correction requests, facilitation of transfers between employers and entities
- **Compliance, policies, and wage protection.** Accreditation of company labor policies (e.g., vacation days); management of wage protection with digital pay and reconciliation records; tracking of, management of, objection to violations
- **Talent and training services.** Access to training indicators and histories and use of job marketplace to connect establishments with candidates for efficient recruitment aligned with business needs



SERVICES FOR EMPLOYEES

- **Resume and profile management.** Access to mobile app to build a curriculum vita with verified data integration, easy customization and sharing, and real-time analytics to track views
- **Guidance and support (Labor Adviser AI).** Access to 24/7 artificial intelligence–powered assistance for quick, accurate answers and step-by-step help navigating platform features and labor-related queries
- **Employment records and mobility.** Access to employment certificates and history, management of employment contracts and employer information, handling of transfer requests between current and new employers
- **Training and credential validation.** Ability to review training record and validate certificates to boost credibility and awareness of qualifications issued through the platform
- **End-of-service benefits calculator.** Digital tool to help workers estimate amounts due, timelines, and calculations aligned with Saudi labor regulations

Qiwa provides **labor market intelligence and insights for all stakeholders**—ministries, government agencies, institutions, researchers, businesses, investors, citizens—to enable better, more-informed decisions. By ensuring transparency, the platform makes clear information available to everyone, fostering trust, openness, and a more efficient labor market. Policy makers are equipped with data-driven evidence to design effective policies aligned with national priorities and challenges, and robust compliance tools enable organizations to meet regulatory requirements efficiently and ensure accountability in real time, with a global perspective. Complementing these services, the Qiwa Lens Quarterly Labor Market Digest provides structured, in-depth analysis of the Saudi labor market, including monthly changes in employment and establishments, sectoral trends in job growth or decline, workforce distribution according to nationality and sex, and industry and employment trends.

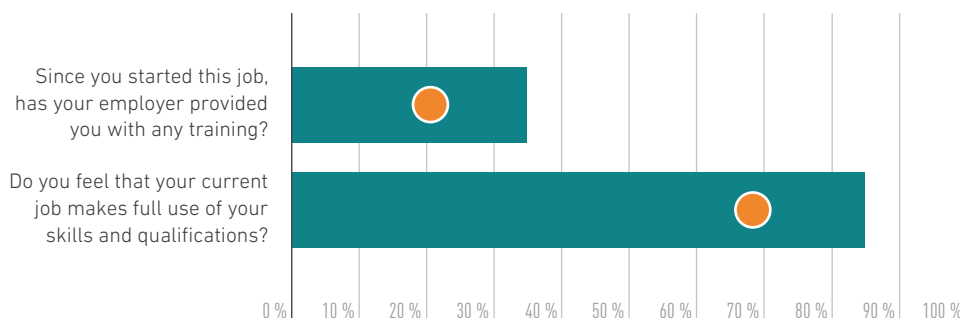
Source: Takamol, MHRSD

Once employed in the country, an increasing proportion of foreign workers were receiving opportunities for upskilling in 2025 (Figure 20). The share of foreign workers that were receiving training increased by 14 percentage points from 2015 to 2025, which translated into a greater share of employed individuals reporting that their roles were making full use of their capabilities. Structured on-the-job training can yield significant benefits, including greater productivity, employee engagement and effort, retention, and workplace safety.

Figure 20. Extent of Training Offered to Foreign Workers and Use of Their Skills, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Expatriates



Although firms have expanded firm-based training efforts, provision remains low. As a result, a policy was implemented in 2023 that requires firms with more than 50 employees to report their annual training activities through the Qiwa platform (training hours, number of trainees, training budgets).



Dynamism in the Private Sector

Labor market mobility rose from 2015 to 2025. The average number of employers that an individual has worked for increased from 1.2 to 1.7 for Saudi men, from 1 to 1.5 for women (Figure 21), and from 1.9 to 2.5 for expatriates (Figure 22), indicating higher rates of job mobility and turnover. This trend suggests a more fluid labor market where workers are changing jobs more frequently, possibly in response to emerging sectors, evolving skill demands, and labor mobility reforms. The increase is particularly pronounced among Saudi youth and prime-working-age populations, reflecting greater adaptability and active search for better employment opportunities.

Figure 21. Average Number of Employers Worked for According to Sex, Saudis, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Nationals

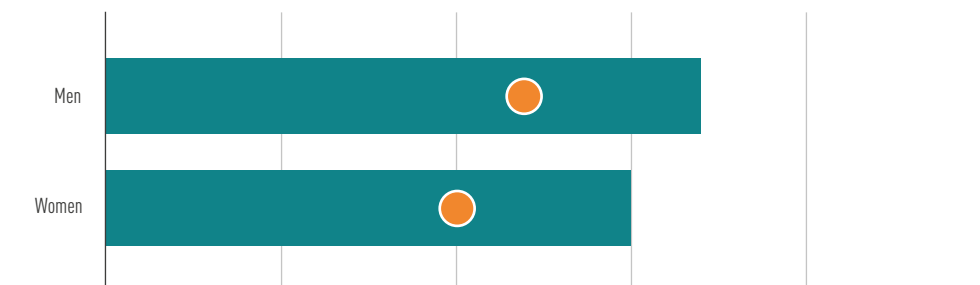


Figure 22. Average Number of Employers Worked for, Expatriates, 2015 and 2025

■ 2025
● 2015

Source: 3LMS Expatriates

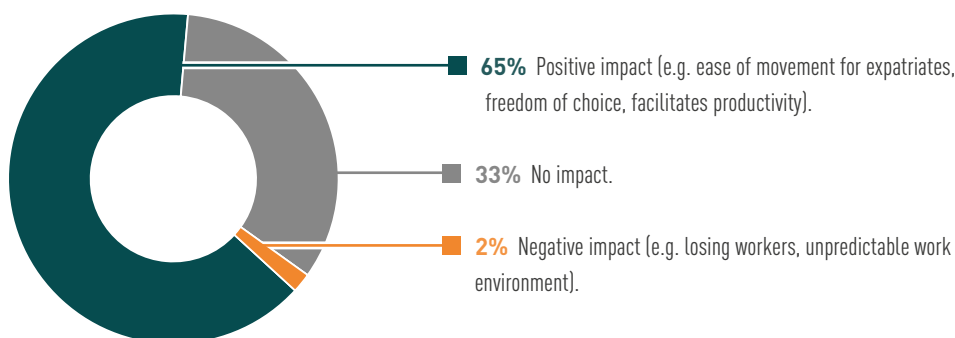


Greater labor mobility may lead to more-productive dynamism if workers are finding jobs that better match their skills and expertise. It allows workers to relocate to regions or industries where their skills are in higher demand, promoting more efficient allocation of human resources, which can enhance economic output and productivity. As workers gain more autonomy in selecting their jobs, the labor market becomes more competitive, driving higher wages and better working conditions for all participants. For employers, drawing from a wider, more competitive pool of candidates allows companies to better match employees to their needs, particularly in specialized sectors. Labor mobility can encourage creativity and technological progress as relocating workers introduces fresh perspectives and experiences that foster new solutions and innovative approaches. Labor mobility may also increase productivity through creative destruction: as workers move from less efficient to more efficient firms, the former lose critical talent and are pressured to exit the market while efficient firms gain skilled labor, driving innovation, growth, and overall economic productivity.

The reform of job mobility contributed to this dynamism, marking a pivot in the country's labor governance, particularly for foreign workers. Spearheaded by the Labor Reform Initiative, these reforms dismantled key elements of the traditional sponsorship system by allowing foreign workers to change employers without current employer consent. The reforms also enable workers to issue exit and re-entry visas independently through digital platforms such as Absher, reducing administrative friction and enhancing transparency. These measures are grounded in Ministerial Resolution No. 51848 (2020) and its amendments to the labor law's executive regulations, signaling a policy shift toward greater worker protection via contractual employment relationships. They are operationalized through platforms such as Qiwa and Absher, which integrate digital tools and automate labor market and mobility services.

Although there were concerns that the Labor Reform Initiative could increase employer dissatisfaction by increasing employee turnover, employers generally view this reform as having a positive effect. Sixty-five percent of employers reported that eliminating restrictions on the labor mobility of expatriate workers was beneficial, and only 2 percent indicated that it was harmful (Figure 23). High turnover can signal a dynamic, competitive market in which labor is efficiently reallocated to its most productive uses, and employers seem to value this dynamism.

Figure 23. Perceptions of Employers on Impact of Labor Reform Initiative, 2025



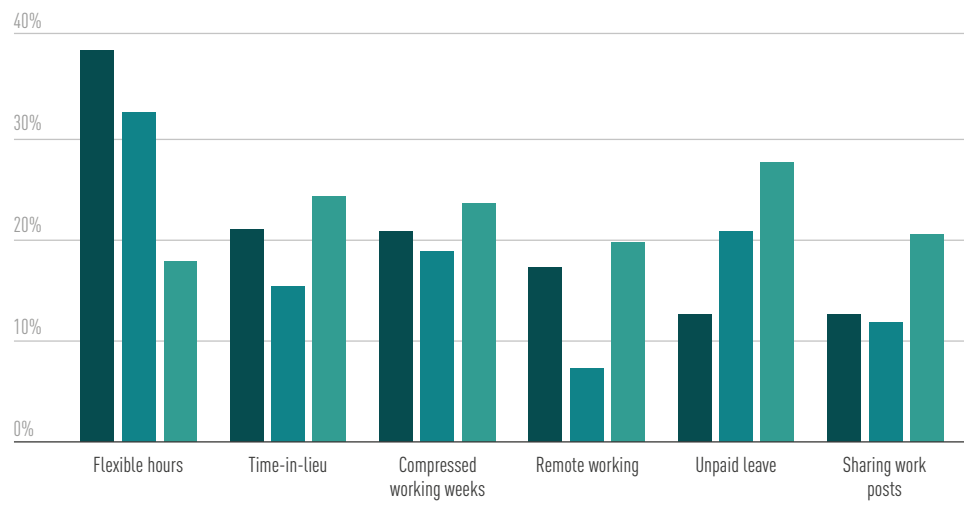
Next-generation admission reforms will close labor market gaps and enhance competitiveness by implementing joint policies for Saudis and expatriates, updating recruitment and visa rules to attract and retain high-skilled talent while addressing oversupply of low-skilled labor. The scope includes targeted high-skill recruitment, incentives, training aligned with skills demanded in the country, and efforts to diversify the economy.

Flexible work arrangements remain limited among wage workers, although there is potential for expansion. A significant proportion of Saudi nationals indicate that their employers do not provide certain types of flexible options. Half of surveyed workers reported that flexible hours and unpaid leave are not available at their workplaces, and an even larger percentage noted the

absence of remote work opportunities. These findings are consistent with employer reports regarding offerings available to Saudi nationals. Flexible hours are the most commonly provided option; only 17 percent of firms offer remote work (Figure 24).

Figure 24. Types of Flexibility That Firms Offer and Saudi Nationals Use, 2025

■ Offered by firms
■ Saudis who make use of it
■ Saudis who do not make use of it but it is offered

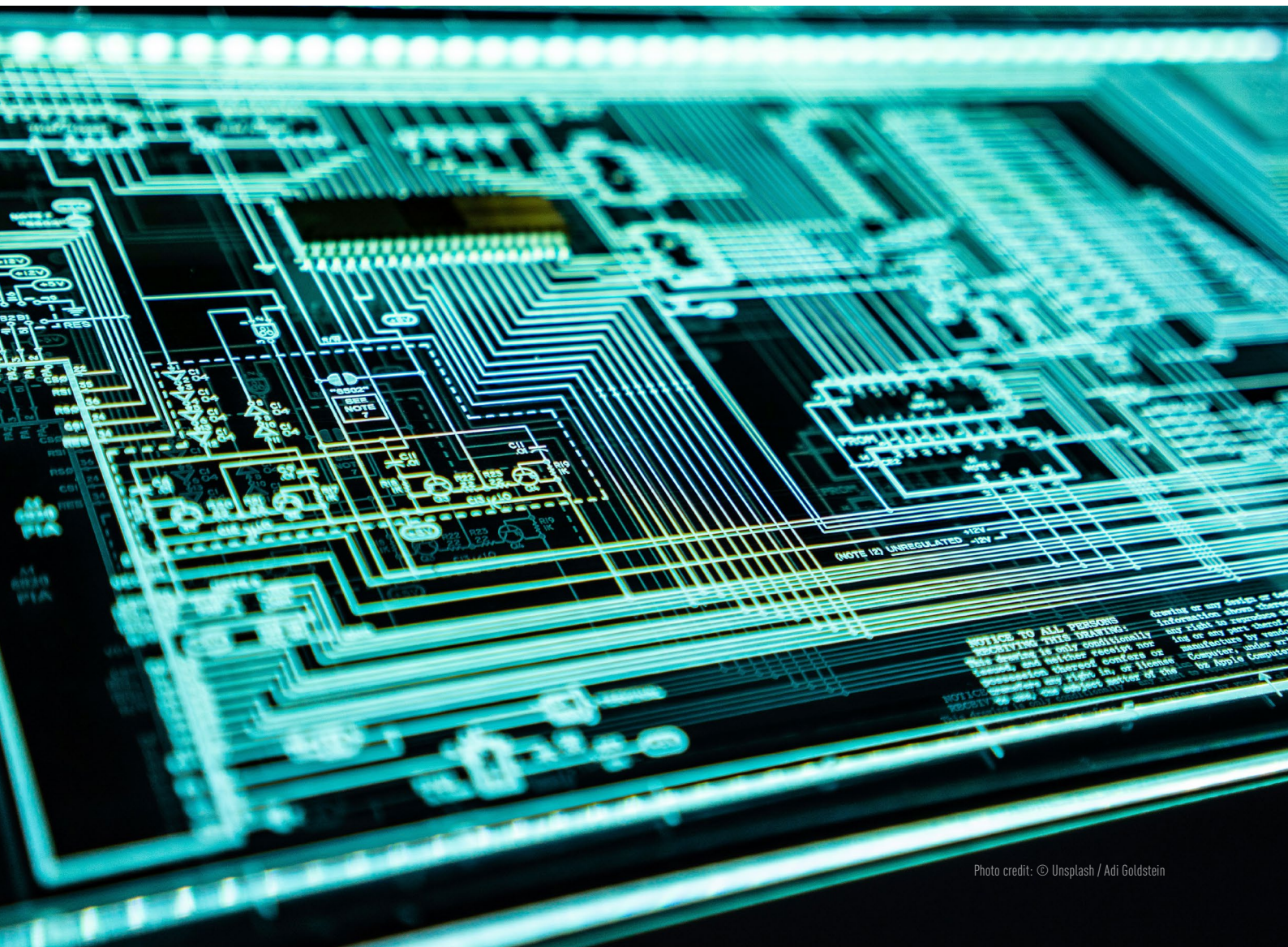


Flexible work options can enhance workforce participation, particularly among women and in response to the evolving nature of employment.

Consequently, the government is actively pursuing initiatives to expand non-traditional employment opportunities. Initiatives such as the Freelance Program, Part-Time Job Program, and Flexible Work Regulation have formalized freelance and hourly employment, enabling Saudis, especially youth and women, to participate in the labor market with greater autonomy and protection. Ministerial decisions and digital platforms such as Qiwa and the Freelance Platform, which facilitate contract registration, social insurance coverage, and access to government services, back these reforms. By institutionalizing flexible work models, the government is diversifying income sources and reducing barriers to entry for independent and part-time workers.

Some social protection mechanisms have evolved to support flexible work options.

Programs extend General Organization for Social Insurance coverage to freelancers and part-time employees, ensuring that they are counted under localization quotas and receive job security benefits. Integration of digital platforms has streamlined employment processes, allowing for real-time contract management and compliance monitoring. These reforms contribute to Vision 2030's Human Capability Development and Digital Economy pillars by promoting entrepreneurship, enhancing labor mobility, and embedding flexible work into the formal economy. With measurable key performance indicators such as number of freelance certificates issued and Flexible Work Regulation contracts registered, Saudi Arabia is building a more adaptive, more inclusive labor market.



Breaking the New Frontier: What's Next for Saudi Arabia

Over the past decade, Vision 2030 and the LMS have led to positive changes in Saudi Arabia's labor market. Employment opportunities have expanded alongside a rise in labor force participation, particularly in the private sector. Attitudes of Saudi nationals have also shifted: whereas the public sector was the preferred destination for more than half of unemployed Saudis in 2015, preferences have increasingly moved toward private sector opportunities. Additionally, groups traditionally underrepresented in the workforce, such as youth and women, have increasingly entered the labor market.

This transition from economic inactivity to employment in the private sector reflects a broader inclusivity with an increasing share of individuals transitioning from inactivity into private sector employment. The private sector is also making better use of human capital—Saudi and foreign—as the number of low-skilled manual jobs gradually declines, and the government is seeking to attract talent to the country and develop the skills of its national workforce. At the same time, the private sector is becoming more dynamic, with rising job-to-job mobility and greater Saudi participation in micro firms.

Further reforms can keep the momentum and build on the progress made in the last ten years. Looking ahead, Saudi Arabia is well positioned to turn recent momentum into broader additional reforms to accelerate inclusive, private-sector-led growth. Saudi Arabia can further private-sector-led growth by leveraging technology and building skills for higher-value tasks, helping micro and small firms scale into dynamic mid-sized companies, further modernizing employment practices to expand flexible work, professionalizing recruitment through transparent digital processes, deepening industry-education partnerships and employer-provided training for upskilling and reskilling, and improving job quality and mobility to open more rewarding opportunities in an increasingly integrated, competitive labor market.

Even the most successful strategies must be revisited regularly, treating them as living documents. Saudi Arabia is updating the LMS to keep it in line with the changing labor market and future challenges. The LMS Refresh provides an opportunity to maintain momentum and launch a new wave of forward-looking next-generation reforms designed to address remaining challenges to accelerate Saudi Arabia's transition to a skills-intensive, inclusive, and competitive economy.





Next-Generation Admission Reforms:

Saudi Arabia can build on recent gains by advancing next generation admission reforms that accelerate the shift to a knowledge intensive, innovation driven economy. Further reforms can help align the skills mix of new hires with evolving industry demand and ease the transition from reliance on low skilled manual labor toward higher productivity roles. A tailored admission framework that updates recruitment and visa rules, prioritizes skills-based selection, and pairs targeted high skill recruitment with incentives and training can operate through integrated policies for both Saudis and expatriates for a more balanced and competitive labor market. By closing skills gaps and improving matching between labor demand and supply, these reforms would curb oversupply of low skilled labor and catalyze growth in higher value-added sectors.



Next-Generation Activation Reforms:

Saudi Arabia can sustain momentum by advancing a next generation, inclusion focused activation agenda that brings more Saudis into quality work. Further reforms are needed to enable active aging, expand affordable childcare and parental supports so mothers can stay in the workforce, and introduce in-work benefits that raise take home pay for low wage earners. Tailored activation plans can engage inactive youth through better employment services and barrier specific interventions, while joint measures can narrow wage disparities and strengthen workforce integration. By reinforcing inclusivity across all segments and accelerating declines in the share of people not in school or employed, these reforms would increase women's labor force participation and support the private sector's growing role in creating equitable opportunities for Saudi nationals, women, and youth, helping the country capture its demographic dividend and sustain growth.



Next-Generation Skills Development Reforms:

Saudi Arabia can lock in momentum by advancing next generation skills development reforms that better align talent with private sector needs. Further reforms are needed to close supply demand gaps in skills, ease school to work transitions, expand firm based and lifelong learning, and prepare workers for digital transformation and GenAI-enabled industries. Building on the National Skills Strategy, a new wave of reforms can broaden access to a full lifelong learning journey, integrate recognition of prior learning and micro credentials to validate skills gained on the job and in formal education, and scale high quality technical and vocational across priority sectors. A national AI learning initiative can embed new foundational digital competencies and exposure to emerging technologies such as generative AI, enabling workers to leverage tools for better decision-making and higher productivity. Such reforms can support reductions in skills imbalances, accelerate job placement, raise employability and resilience, and position a digitally savvy workforce to power innovation in a knowledge intensive economy.



Next-Generation Job Quality Reforms:

Next generation job quality reforms can turn Saudi Arabia's momentum into more, better, and more inclusive employment across the economy. Further reforms are needed to raise productivity and job quality in segments dominated by micro and small enterprises and low skilled work, where slow technological adoption, limited skills and less efficient recruitment channels may be holding back wages and learning. A forward agenda can accelerate digitalization, connect smaller businesses and entrepreneurs to value chains, and professionalize training and recruitment to build managerial and technical capabilities to enable more private sector dynamism and productivity growth.

Saudi Arabia's labor market transformation over the past decade shows what is possible when a comprehensive vision is matched with coherent implementation. A modernized governance model; investments in data and digital labor systems; and reforms addressing skills, mobility, admission, inclusion, and worker protections have catalyzed a dynamic, skills-rich economy and reset social norms regarding work. The result is a larger, more-productive workforce and a private sector increasingly positioned as the engine of opportunity.

The future is about quality and resilience. By doubling down on next-generation admission, activation, skills, and micro firm reforms; linking talent to demand; increasing lifelong learning opportunities and AI readiness; expanding childcare and in-work supports; and boosting productivity in micro enterprises, Saudi Arabia can accelerate the shift toward higher-value, inclusive jobs. The lesson for other countries is clear: align around a unifying strategy, govern for delivery, invest in data and digital public infrastructure, and iterate relentlessly. When policy coherence meets evidence and accountability, labor markets can transform at speed and scale and sustain the transformation.



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Endnotes

1. Inactivity is defined as neither employed nor looking for work, including those in school, placing them outside the official labor force.
2. IMF 2025.
3. World Bank 2025.
4. World Bank 2025.
5. Vision realization programs are a core set of strategic initiatives that the government has launched to drive implementation of Vision 2030, each following a targeted roadmap with clear objectives and performance indicators and adapting as needs evolve. The Human Capability Development Program is a vision realization program designed to empower citizens and boost global competitiveness through a comprehensive, inclusive strategy spanning early childhood through lifelong learning, with collaboration across the public, private, and nonprofit sectors.
6. The employment-to-population rate provides information on the ability of an economy to create employment; for many countries the indicator is often more insightful than the unemployment rate.
7. Halim, O'Sullivan, and Sahay 2023.
8. Youth is defined as aged 18 to 24, but for the purposes of this labor market transition analysis, younger individuals are defined as 21 to 34 to better capture flows.
9. Bursztyn, González, and Yanagizawa-Drott 2020.
10. Single mothers are a non-trivial share of the female Saudi population—a share that slightly decreased from 2015 to 2025
11. World Bank 2024.
12. Sectoral employment data from GASTAT and GOSI suggest some shifts in recruitment directly in the public sector toward hiring of individual contractors enrolled in the private sector pension scheme.
13. Fontaine et al. 2020.
14. Behar and Mok 2013.
15. Lopesciolo, Muhaj, and Pan 2021.
16. World Bank. 2024.
17. World Bank. 2024.
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31. OECD 2024.
32. Ministerial Resolution No (4602) dated (10/1/1447AH).



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